Stock Focus

Jumbo Interactive Ltd (JIN-ASX)

Jumbo Re-initiation - Winners make their own Luck

Recommendation: Positive

Last price	**AUD13.49**
Valuation	**AUD17.85**

TSR

Upside to valuation	32.3%
Dividend yield	3.2%
Expected total SH return	35.4%

JIN-ASX share price history
Source: E&P Research, IRESS



Trading Data

Last price	AUD13.49
Valuation	AUD17.85
Market cap ($m)	$775
Shares outstanding (m)	63.0
Free float (%)	1.0

Earnings revisions

	FY25	% chg	FY26	% chg
% change DPS	154.5	6.4%	170.2	6.8%
Adj. EBITDA	73.7	14.9%	81.8	13.2%
Adj. NPAT	67.5	77.8%	81.1	87.0%
Adj. EPS	52.5	(12.8)%	48.7	(29.2)%
Val	**AUD17.85**	**17.57%**		

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We re-launch coverage on Jumbo

We re-launch coverage of Jumbo with a $17.85/sh valuation and Positive recommendation. While we are below consensus for FY25 and think that consensus has underestimated the favourable luck factor that aided the FY24 result, we believe Jumbo will be able to deliver longer-term upside relative to expectations.

We are particularly bullish on Jumbo's Daily Winners rewards club, which recently launched in Sep-23. We believe this is a revenue opportunity that is not fully appreciated by the market, as the product was pre-revenue at their latest result. We expect Daily Winners to improve player loyalty to the overall Oz Lotteries brand and expand margins. Our forecasts assume a relatively conservative scaling of Daily Winners, which adds $2.23/sh to our valuation.

We are also confident that Jumbo's key risk (a non-extension of their TLC reseller agreement that expires in 2030) is unlikely to materialize. This is primarily because TLC earns a considerably better variable contribution margin on Jumbo-sold tickets vs. their retail channel. We also believe that TLC needs to protect their commissions they earn from their direct online channels and will want to avoid turning Jumbo from a friend to an enemy.

Financial forecasts and valuation

We forecast Jumbo to achieve a 6.9%/7.7% revenue/EBITDA CAGR from FY24 to FY30. Our valuation has increased to $17.85/sh, and we transfer coverage of Jumbo to Sam Bradshaw & Paul Mason.

Our view

Jumbo isn't the safest bet for an investor, but on a net-overall basis, we believe the positive catalysts outweigh the risks. Jumbo is an asset-light business generating strong free cash flows. The founder-led management team has proven themselves to be innovative in developing new products and nimble at finding alternative revenue buckets to diversify from their long-standing reseller agreement with TLC.

Earnings Forecasts

Yr to Jun (AUD)	24A	25E	26E	27E
EBITDA	75.1	73.7	81.8	90.2
Adj. EPS (c)	68.9	67.5	81.1	94.6
Adj. EPS Gth (%)	37.2	(2.0)	20.2	16.5
DPS (c)	54.5	52.5	48.7	58.3
Yield (%)	**3.2**	**3.9**	**3.5**	**4.0**
Valuation (blended)				**AUD17.85**

Source: E&P Research

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Investment Thesis

The investment thesis for Jumbo is based on the assumption that their reseller extension with TLC will be extended and that management can continue to grow its alternate revenue opportunities. We see the following drivers:

1. **Daily Winners to improve player retention and enhance margins** - We believe that this is Jumbo's main growth catalyst over the next five years that the market has not appreciated. Launched in Sep-23, Daily Winners is a rewards club that offers members access to discounts and the chance to win giveaway prizes. Although the industry has seen a large volume of entrants over the past few years, Jumbo is uniquely placed to leverage its existing customer base and establish greater trust as an authorised reseller of lottery tickets. Daily Winner' 'free membership tier should improve Jumbo's retention/cross-sell ability, and the paid tier will ultimately lead to margin expansion. We believe consensus has materially underestimated the potential upside, partly because the product is yet to feature in Jumbo's reported numbers.
2. **TLC agreement likely to be extended** - Jumbo's ability to trade on a higher multiple is predicated on one key risk: their reseller agreement with TLC, which expires in 2030. We believe that TLC is likely to extend this agreement for multiple reasons. Our three key reasons are: (i) TLC earns a better margin from Jumbo than its retail channel, (ii) TLC needs to pay away some of its online commission to ensure it is not swallowed by the government in the long-term, and (iii) TLC should avoid turning Jumbo into their enemy. We believe that if anything, TLC is more likely to squeeze Jumbo's margins.
3. **Jumbo to benefit from lottery resilience & online migration** - Lotteries have a long history of stable growth and resilience during weak economic cycles. Furthermore, we expect customer spend to continue to migrate online, for which Jumbo is a major beneficiary.
4. **Longer term upside in winning online government SaaS contracts** - This is a relatively well known catalyst by the market, given it was featured in Jumbo's Jul-22 Investor Day. However, the time horizon has been pushed back and is now five years away. Nevertheless, the opportunity still remains over the long-term. Jumbo's primary target is the online portion of the WA lotteries (LotteryWest) contract. This could act as a catalyst to pursue overseas opportunities. The US in particular looms as a key market as states gradually begin migrating lotteries online (currently only 14 states have legalised iLottery).
5. **Jumbo's tech is well positioned to serve the growing worldwide charity market** - Jumbo has a long history of innovation and has built a strong tech stack. Their recent entrance into charity SaaS/Managed Services offers new revenue opportunities, improved diversification from Lottery Retailing, and technological synergies. Charity lotteries are seeing strong momentum globally and typically benefit from favourable regulation. Jumbo is well positioned to grow their TTV both organically with charities looking to digitise, or inorganically via M&A.

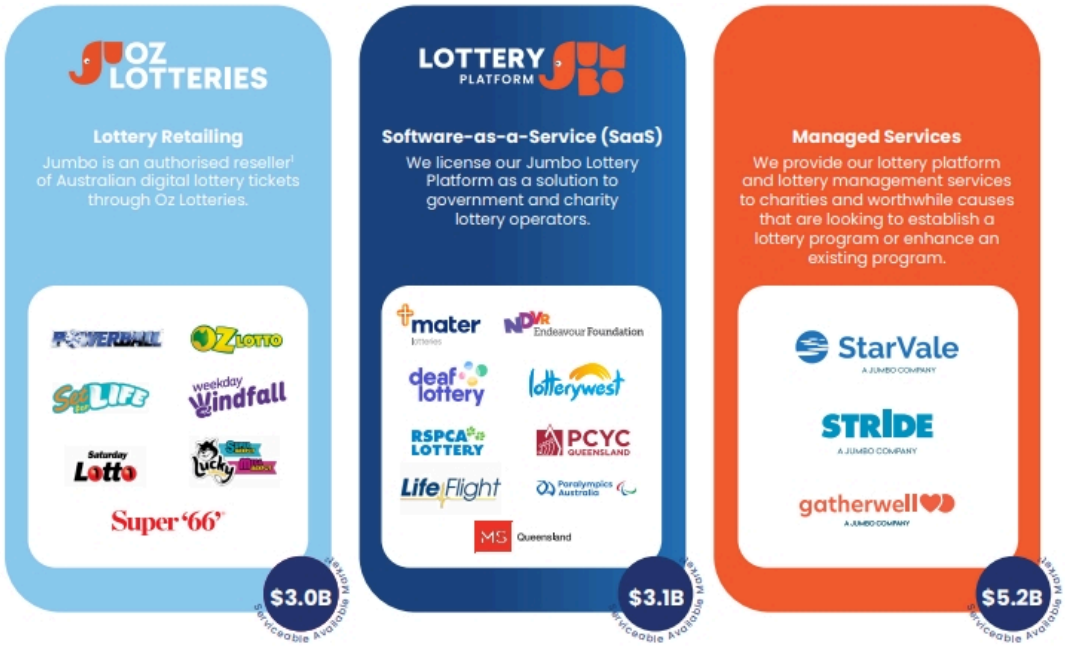
On the downside, we believe Jumbo does face potential headwinds. In the short-term, we believe that FY24 was a 'lucky' year for Jumbo (and TLC), which is statistically unlikely to repeat in FY25. Over the longer-term, Jumbo's TLC reseller agreement is the obvious key risk that could derail their earnings potential, albeit we believe this is unlikely. Other risks include the squeezing of margins across the business as customers scale (e.g. Mater & LotteryWest), the inability to scale overseas M&A investments, adverse regulatory changes and cannibalisation from alternative online gambling products (foreign matched lotteries, online keno, and potentially iGaming).

On a net-overall basis, we believe the positive catalysts outweigh the risks. Jumbo is an asset-light business generating strong free cash flows. The founder-led management team has proven themselves to be nimble in the face of an elevated key-contract risk, finding new buckets of revenue in the charity SaaS industry and developing internal products such as Daily Winners & Splash for Cash. Couple this with a net-cash balance sheet, which provides Jumbo the flexibility to pursue both organic and inorganic growth opportunities.

Company Description

Jumbo was founded by CEO Mike Veverka in 1995 and began as a software & e-commerce business. In 2005, Jumbo began selling online lottery tickets as an authorised lottery reseller, a service that remains the cornerstone of their business today (Lottery Retailing). Jumbo has since expanded their addressable market by providing a lottery platform solution to government and charity lottery operators (SaaS & Managed Services). Their ambition over the medium-to-long term is to grow this portion of their business to ~50% of the group. Jumbo currently employs over 250 employees across Australia, the UK, and Canada.

Exhibit 1 - Jumbo Business Segments



Source: Company Data

Lottery Retailing

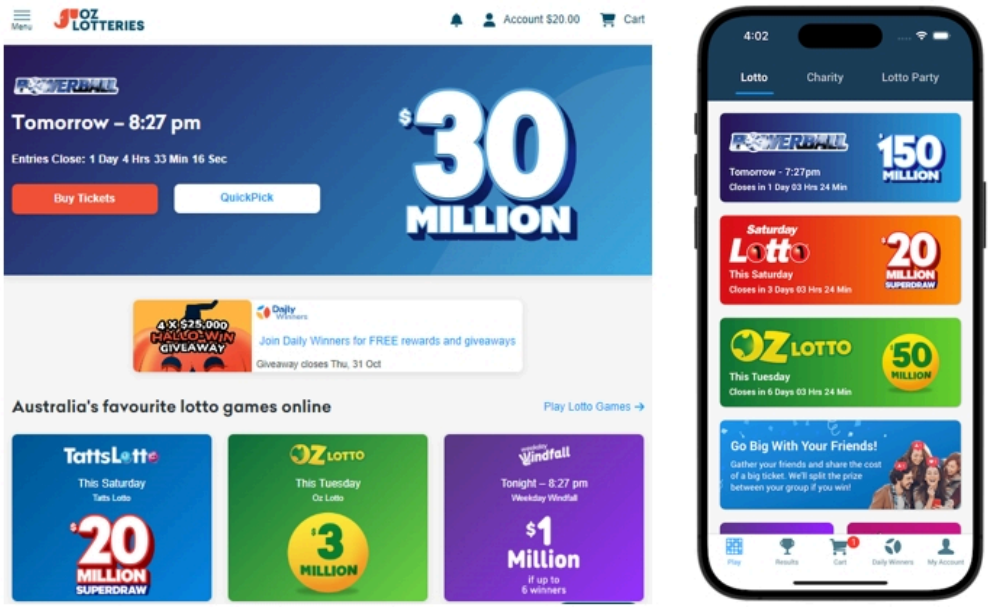
Jumbo sells Australian national lottery and charity lottery tickets to customers through internet and mobile channels (B2C). They operate the popular website www.ozlotteries.com and recently surpassed one million active customers. Jumbo earns revenue from agents' commissions and typically charges a further markup on the normal retail ticket price. Jumbo is known for being innovative and offering a quality service.

Products & Markets

Since 2005, Jumbo has obtained various agreements with state lottery licence holders to act as an authorised reseller of digital lottery tickets through its Oz Lotteries brand. All of these agreements are now effectively with The Lottery Corporation (TLC) and have the same operating terms. Oz Lotteries does not sell TLC tickets in QLD due to small business restrictions, which limit lottery agencies to <50 FTE. Jumbo also does not generate lottery retailing revenue in WA. Instead, Jumbo transitioned its WA operations into a SaaS contract in 2020 and now earns a service fee for operating oz.lotterywest.com instead of an agent's commission.

The majority of Jumbo's Lottery Retailing TTV (total transaction value) comes from the TLC-branded and licensed games (97.7%), including Powerball, Oz Lotto, Saturday Lotto, Weekday Windfall, Set for Life, & Lucky Lotteries. The main TLC games that Jumbo does not sell are instant games, due to internet gaming legislation. The remaining TTV comes from charity games (2.3%). Oz Lotteries began selling charity tickets in Jul-15 and currently sell entries for nine charities.

Exhibit 2 - Oz Lotteries Website & Mobile App



Source: Oz Lotteries

Jumbo has a long history of developing new features & innovative ways for customers to play the lottery. Examples include AutoPlay (subscription model), Lotto Party (social play), and features such as Apple Watch or Google Voice. Jumbo has made significant investments in data analytics and more recently AI, with current initiatives in customer support, marketing, and software development. Jumbo has also recently developed its own products in Daily Winners (rewards club) & Splash for Good (charity lottery). Consequently, Jumbo over-indexes on younger demographics.

TLC Retailer Agreement

History of Jumbo's Reseller Agreement with TLC

Jumbo has been operating under reseller agreements with TLC (formerly Tatts Group) since 2005. The initial purpose from TLC's perspective was to protect their relationship with the retail network. TLC wanted to expand into the online market, without aggravating their existing channel. Hence, TLC handed out online reseller agreements to multiple companies. Most of these have ceased operations except for Jumbo & NetLotto (much smaller in scale). These agreements initially differed and were authorised by state bodies as TLC did not have all the licenses (ex. WA) at the time.

In May-17, TLC extended Jumbo's agreement for five years and purchased a 15% stake in the business. The primary reason for this was to protect themselves from synthetic lottery operator Lottoland. Lottoland had acquired a 7% stake in Jumbo at a significant premium to the prevailing market price. Among the concerns for TLC, was that Lottoland would leverage Jumbo's customer base to scale their own operations. To nullify this, TLC added a termination rights clause in Jumbo's reseller extension that was effectively activated if Lottoland gained more controlling interest in Jumbo. Consequently, Lottoland sold its stake in Jumbo just two months later.

Agreement Terms

Jumbo's current agreement with TLC runs until August 2030 in all six jurisdictions (excl. QLD & WA).

The current terms are as follows:

- A service fee of 4.65% is charged on the ticket subscription price.
- Jumbo receives ~9.3% (on bloc games) as a retailer commission.
  - TLC increased the retailer commission to 10.3% in Sep-19 and then 12.3% in May-23. In both instances, Jumbo's commission was unchanged.

For Jumbo, these terms are far less favourable than they used to be. Jumbo has managed to partially offset this by expanding their product margins on tickets relative to TLC (discussed in a later section).

TLC Margins by Channel

The main reason we believe that TLC will extend Jumbo's reseller agreement is that they earn a superior variable contribution per Jumbo ticket than their retail channel. Below we demonstrate the unit economics for a Powerball ticket according to the four main channels: (i) retail, (ii) omni-channel, (iii) TLC online direct, and (iv) Jumbo. The calculations below are for Victoria only, which is by far the least favourable state from a unit economics perspective. However, the overall order of margins by channel from TLC's perspective remains the same irrespective of the state and their tax regime.

Exhibit 3 - TLC Lottery Margins by Channel - Victorian Summary

	Retail	Online		
	Retail	Omni-Channel	The Lott Direct	Jumbo
Ticket Price	**$1.35**	**$1.35**	**$1.35**	**$1.55**
(-) Jumbo Markup	-	-	-	-$0.20
(-) Retailer Commissions Paid	-$0.15	-$0.08	-	-$0.11
(+) Service Fee	+$0.01	-	-	+$0.06
(-) Prizes	-$0.72	-$0.72	-$0.72	-$0.72
(-) GST	-$0.06	-$0.06	-$0.06	-$0.05
(-) State Lottery Taxes	-$0.38	-$0.38	-$0.38	-$0.38
Variable Contribution	**$0.05**	**$0.11**	**$0.19**	**$0.14**
Margin (% of Ticket Price)	*3.99%*	*7.82%*	*14.06%*	*8.83%*
Margin (% of Subscription Price)	*4.49%*	*8.79%*	*15.79%*	*11.41%*

Assumes:

Powerball Ticket

Post Game Change (May-23)

Retail/Omni Channel are Green Traffic Light

Source: Company Data, VGCCC, ATO, E&P Estimates.

Reasons why TLC is likely to Extend

If TLC did not extend Jumbo's reseller agreement, this would be detrimental to the company. However, we believe this is unlikely for the following reasons:

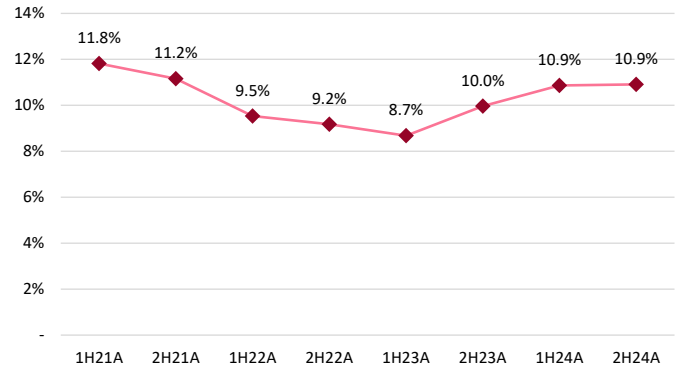
- Financial - TLC earns a better margin from tickets sold via Jumbo than tickets sold via the retail network. Jumbo also grows the market. Retail customers that go online will likely go to TLC, while Jumbo needs to find its own customers. Furthermore, Jumbo has traditionally over-indexed on younger generations and therefore attracts new players to lotteries. Jumbo also offers TLC insights into the price elasticity of lotteries, which is particularly useful information when designing game changes.
- Competition - Not extending Jumbo would likely turn their friend into an enemy. Jumbo has over one million active customers and ~14% online market share. They could have previously chosen to pursue a foreign matched lotteries business but opted not to. TLC's real competition in Australia is currently The Lottery Office, LottoLand & LottoGo.
- Regulation - Jumbo offers an effective lobbying partner. Jumbo has backed TLC in pushing for a review into foreign-matched lotteries and is also supportive of TLC's bid to extend their Victorian Lottery Licence. Furthermore, Jumbo is better placed to lobby via charities, similarly to how TLC has lobbied via retailer unions in the past.
- Digital Commission Protection - TLC needs to pay away some of its online commission. We believe that as online migration scales, governments will question why retailer commissions designed for small businesses are also earned for TLC's direct online channels. This risks the retailer commission being absorbed back into the subscription price and taxed rather heavily. Hence, TLC needs to pay a portion of this away to other stakeholders. The most significant increase recently is the omni-channel commissions to retailers, but Jumbo also acts as a useful shield.
- We believe the extension of Jumbo's reseller agreement is not a matter of "if?" and more a matter of "how much?". From TLC's perspective, it makes more sense to keep Jumbo as a close ally and if need be, squeeze them for greater margins. If TLC were to terminate Jumbo's agreement, they should have done it a long time ago.

Margins & Markup vs TLC

Jumbo's Margins & Price Increases

In May-23, TLC implemented a game change to their top-performing game Powerball by increasing the subscription price by 10c. They also increased their retailer commissions from 10.3% to 12.3% for all Bloc games (~90% of the portfolio). Jumbo's commission was unchanged at 9.3%, effectively reducing their margins. With TLC increasing their prices (albeit most games only marginally), Jumbo saw a window of opportunity to regain some of the margin they had lost by increasing their prices even further.

Exhibit 4 - Jumbo Lottery Retailing Gross Profit/TTV



Source: Company Data, E&P Estimates

Exhibit 5 - Change in Jumbo's Margin from May-23 Powerball Game Change

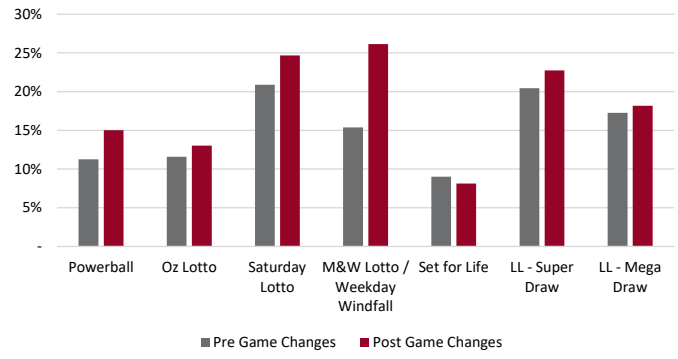
		Pre Game Change	Post Game Change	Difference
TLC Ticket Price				
Subscription Price		$1.10	$1.20	+9.1%
Retailer Commission (%)		10.30%	12.30%	+200bps
Retailer Commission ($)		$0.11	$0.15	+30.3%
TLC Ticket Price		$1.21	$1.35	+11.1%
Jumbo Retailer Commission				
JIN Commissions (%)		9.30%	9.30%	-
JIN Retailer Commission	**A**	**$0.10**	**$0.11**	+9.1%
Jumbo Premium over TLC				
JIN Ticket Price		$1.35	$1.55	+14.8%
Premium over TLC		11.27%	15.02%	+375bps
Premium over TLC ($)	A	**$0.14**	**$0.20**	+48.1%
Jumbo Revenue				
JIN Retailer Commission	A	$0.10	$0.11	+9.1%
Premium over TLC ($)	B	$0.14	$0.20	+48.1%
Jumbo Revenue	**A+B**	**$0.24**	**$0.31**	+31.4%
Margin		17.70%	20.26%	+255bps

Source: Comapny Data, E&P Estimates

Prices Relative to TLC

Jumbo is the beneficiary of Australia's unique retail commission structure. In most countries, the retailer commission is paid out as a percentage of the ticket/subscription price (i.e. ticket price = subscription price). In Australia, the retailer commission is on top of the subscription price defined in the game rules. The net result is that the Australian games typically have non-round ticket costs. The cost of an Australian Powerball ticket is ~$1.3476 on a large scale but will vary marginally based on the volume of entries purchased. In the US, Powerball tickets are $2 and this is essentially common knowledge. The advantage for Jumbo is that when TLC increased their prices, Jumbo was able to increase their prices even further without most customers noticing that they were generally worse off.

Exhibit 6 - Jumbo Ticket Price Premium vs. TLC



Source: Company Data, E&P Estimates

Digital Market Share

Customer Base

We believe Jumbo's customers largely fall into two buckets:

1. Customers who prefer Jumbo's service - This may be the app/website itself or the additional products such as charity lotteries, daily winners, etc.
2. Customers who don't understand the difference between Jumbo & TLC's respective brands - Jumbo's Oz Lotteries website does sound similar to the game Oz Lotto, giving a sense of legitimacy. TLC also has multiple brands, which may confuse customers (i.e. The Lott, Tatts, Golden Casket, NSW Lotteries, SA Lotteries, Tabcorp). Earning new customers will, in some cases, be based on search optimisation and social media referrals.

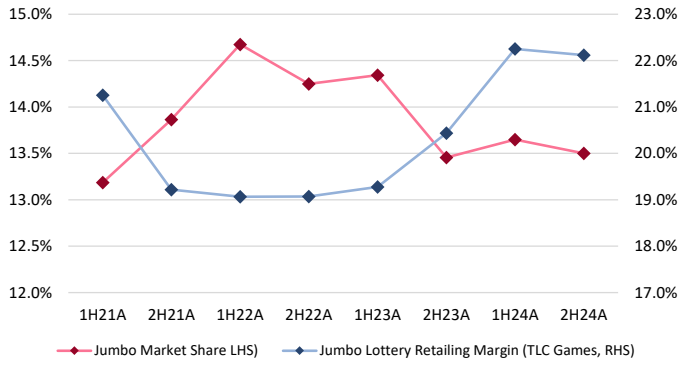
Market Share Key Drivers

Jumbo appears to have a relatively natural digital market share of ~14% for these two groups of customers. Whilst Jumbo's market share has fluctuated over the past three years, it has been relatively highly correlated with two key factors:

1. Jumbo's lottery retailing margin - essentially reflecting their price markup, the higher Jumbo's markup, the lower their share.
2. The growth in TLC digital turnover - Jumbo is heavily skewed towards jackpot games Powerball & Oz Lotto, i.e. the games that drive the portfolio volatility.

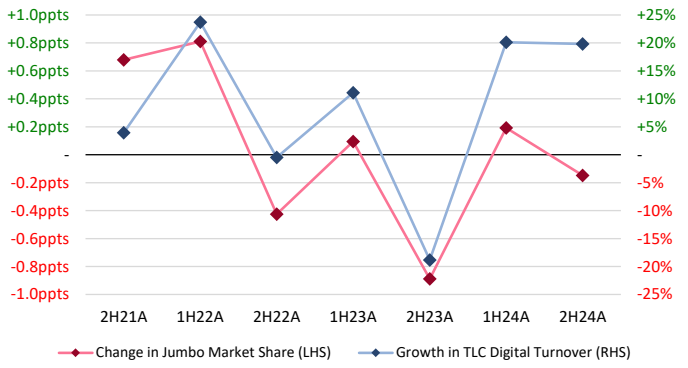
We believe that Jumbo is subject to a natural churn of players who migrate to TLC as a cheaper option. Therefore, Jumbo needs to keep acquiring new customers to offset this loss.

Exhibit 7 - Jumbo Market Share based on their Retail Margin



Source: Company Data, E&P Estimates. Note: Market share is based on TLC's digital turnover only.

Exhibit 8 - Change in Jumbo Market Share based on the change in TLC Digital Turnover



Source: Company Data, E&P Estimates. Note: Market share is based on TLC's digital turnover only.

Long-Term Growth Catalysts

The above market share figures are for the digital component only. Online lotteries currently account for ~41% of total turnover, well below some other countries or other forms of gambling in Australia. We expect lotteries to continue migrating online in the future. Thus, if Jumbo can hold their digital market share, then their overall lottery market share will increase.

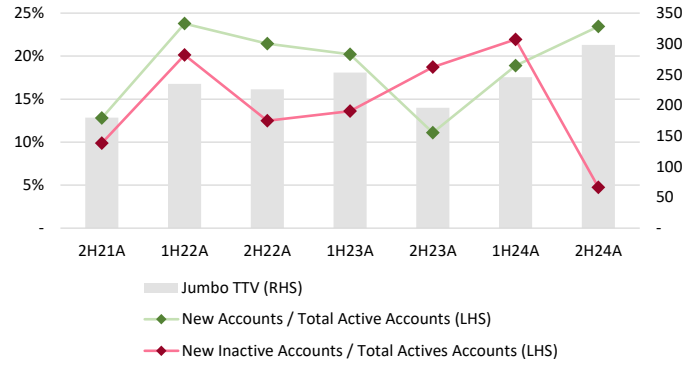
Should Jumbo be permitted to sell TLC tickets in QLD, we would expect Jumbo's digital market share to increase beyond the ~13% to 15% range. Per the Australian Gambling Statistics, QLD lottery turnover accounts for ~25% of total Australian turnover ex-WA. However, any benefits of Queensland reform would be gradual, as Jumbo would be effectively starting from scratch in QLD, outside a small sample of charity-only customers. Our industry feedback suggests that the legislation was unlikely to be reviewed b the QLD Labor party, however the recent change in government could provide a different prospect.

Customer Adoption

Jumbo now has an active customer base of ~1.08m active accounts (record high), but a total of ~3.60m total accounts. Over the past three years, Jumbo has only had a net loss of active accounts twice. The first was 2H23, which saw unfavourable luck for Powerball & Oz Lotto. The second was 1H24, which was half immediately following Jumbo's price increases.

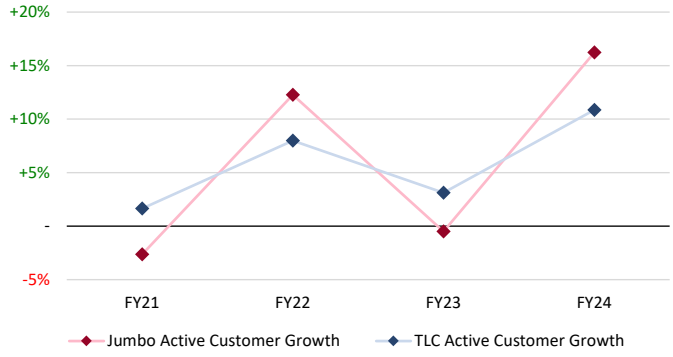
2H24 saw a fantastic ~255k gain of new active customers, aided by record TTV from very favourable jackpot luck. However, the interesting number is the number of inactive accounts. Only 4.7% of the total active customer base became inactive, less than half the previous lowest in the past three years (9.9%). We believe this 4.7% is close to the natural churn of Jumbo players who migrate to TLC that we previously mentioned.

Exhibit 9 - Proportion of New Jumbo Accounts vs. New Inactive Accounts



Source: Company Data, E&P Estimates

Exhibit 10 - Jumbo vs. TLC Active Customer Growth



Source: Company Data, E&P Estimates

Spend per Active

A key metric for Jumbo's customer acquisition strategy is the return on ad spend (ROAS). Management has previously mentioned that their target payback period is approximately six months for each new active customer. If we back this out using the cost per lead, we can see that new customers do spend significantly less than the overall platform average (~33-38%).

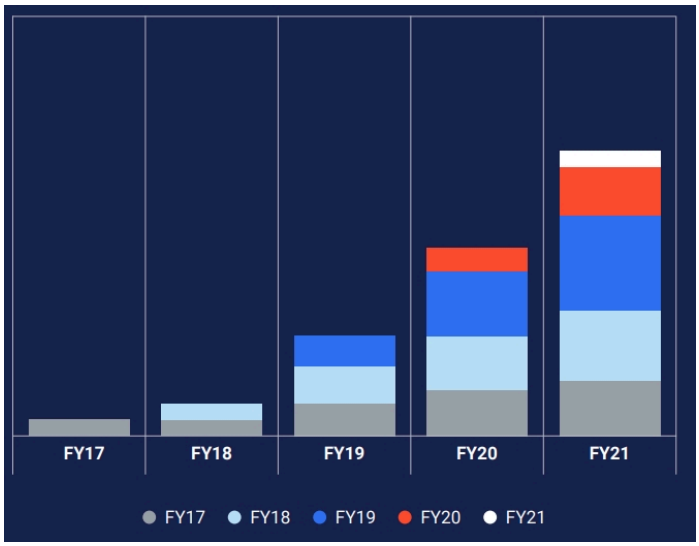
These numbers align with a chart Jumbo provided on their Jun-22 investor day, showing that active customers spend incrementally more every year on the platform. For Jumbo, customer retention is more important to success than customer adoption. Thus validating the common saying 'the best customer is the one you already have'. We believe the recent launch of the Daily Winners rewards club (discussed later) will act as a key retention play that will either give players a reason to not migrate to TLC or be active on both platforms.

Exhibit 11 - Comparison of Implied New Customer Spend vs. Total Customer Spend

	FY23A	FY24A
Implied New Player Revenue		
Cost Per Lead	$17.86	$18.87
Payback Period	6-months	6-months
Implied Annual Revenue	**$35.72**	**$37.74**
Implied New Player Sales		
Gross Margin	20.33%	22.69%
Implied Annual TTV	**$175.72**	**$166.31**
Average spend per active online customer	$467.12	$498.37
New Customer Spend vs. Existing	**37.6%**	**33.4%**

Source: Company Data, E&P Estimates

Exhibit 12 - Cumulative Revenue Contribution based on Player Cohorts



Source: Company Data

Portfolio Mix & Monte Carlo Simulation

Jumbo Game Exposure vs. TLC

Jumbo over-indexes on jackpot games Powerball & Oz Lotto. We believe this is for the following reasons:

- Jackpot games are more appealing to younger demographics.
- Powerball & Oz Lotto offer the biggest jackpots, which attract a lot of new players.
- Oz Lotto is potentially synonymous with Jumbo's Oz Lotteries website, while Saturday Lotto is often referred to as 'Tatts Lotto' and is more synonymous with TLC.

Exhibit 13 - FY24 Revenue by Game

	Portfolio Composition			Digital-Penetration
	JIN	TLC	Excess	
Powerball	55.0%	42.2%	+30.4%	46%
Oz Lotto	21.0%	15.9%	+32.4%	47%
Saturday Lotto	15.0%	22.5%	-33.3%	35%
Other	7.0%	19.5%	-64.1%	32%
Charity	2.0%	0.0%	NA	NA

Source: Company Data, E&P Estimates

Monte Carlo Simulation

The jackpot games Powerball & Oz Lotto have accumulating draws that are subject to randomness. Consequently, TLC & Jumbo can simply get 'lucky or unlucky' over a period of time. Given these two games accounted for 63% of lottery turnover in FY24, the luck of these games will have a meaningful impact on the results for each reporting period. As such, if you were to estimate FY25 TTV using FY24 as a base, chances are you would be wrong, because the starting point is also wrong. To improve our forecasting, we developed a monte carlo simulator that we previously explored in our TLC initiation (here).

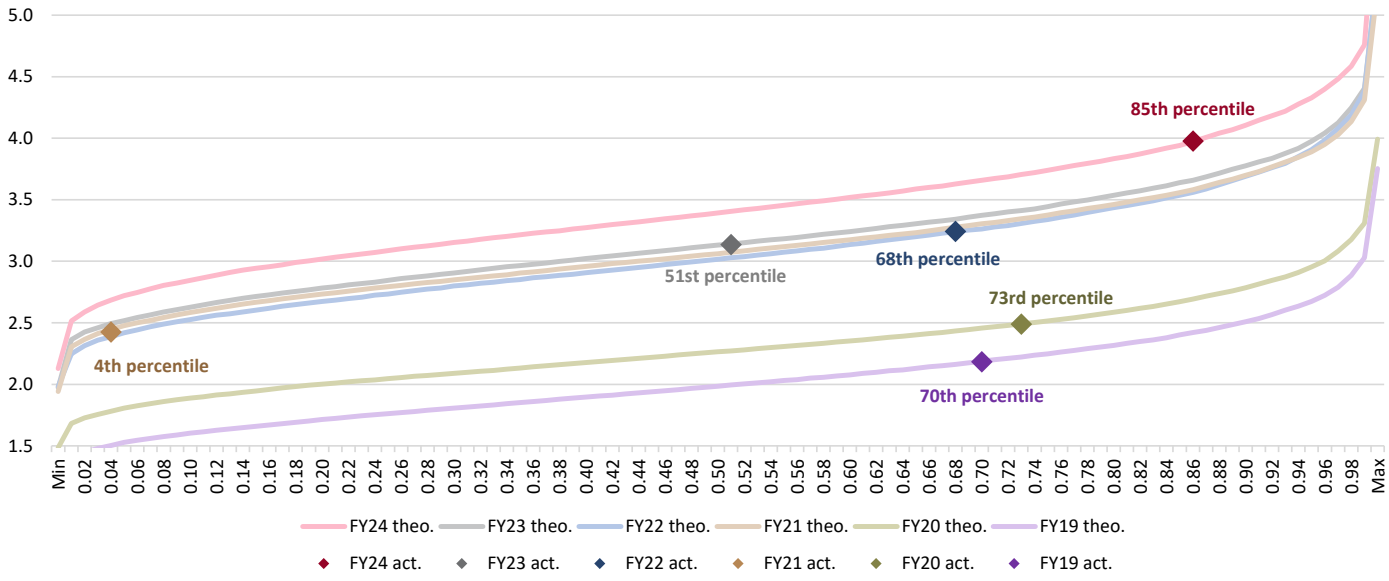
FY24 Backtesting

Below is a chart from our FY24 Gaming Sector preview note (here). We back-tested prior years of Powerball to compare the actual sales against the theoretical outcomes. The objective is to identify how much of an impact jackpot randomness had on a given result and determine the appropriate baseline for future projections. The lines in the chart below represent the theoretical outcomes for each given year, with the actual result as the marker. In order to increase sales, Powerball needs either one of two things;

- Luck/Favourable Draws - This will move the marker up along the line
- Improved simulation parameters - These will shift the entire line upwards.

In FY24. Powerball was able to offset lower like-for-like (LFL) jackpot entries than the prior three years, with the May-23 game change, resulting in higher theoretical outcomes. This was the reason we had previously forecast record Powerball sales for FY24 (see Powerball or Bust). However, the main short-term driver was the favorable jackpot outcomes which we estimate were in the 86th percentile. Going forward, our forecasting methodology is to assume a reversion to the 50th percentile outcome. It is possible for Powerball to achieve FY24 sales again, but would require very favorable luck again and/or a strong uplift in LFL entries.

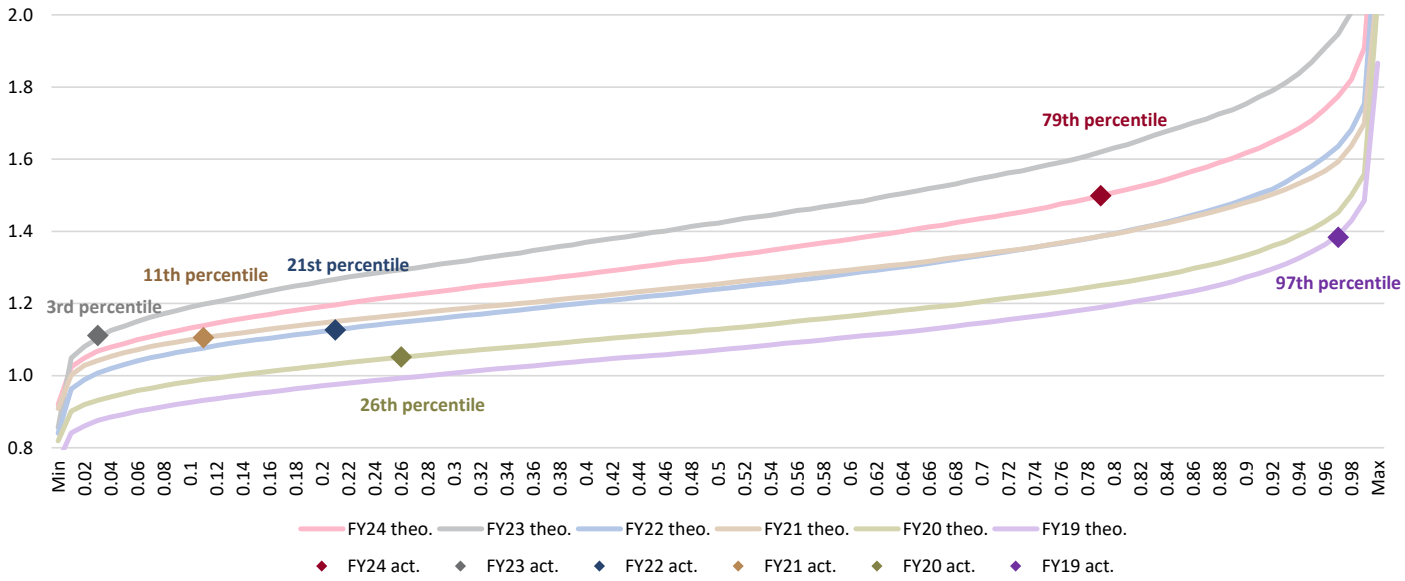
Exhibit 14 - Powerball Monte Carlo Simulation Backtesting - Sales (A$m, y-axis), percentile outcome (#, x-axis)



Source: Company Data, E&P Estimates. Note Includes WA

Oz Lotto received a very favourable change of luck in FY24 with a 79th percentile outcome and record turnover. We had previously stated that Oz Lotto had endured a very unfavourable run of luck, with the previous three FY's in the 3rd, 21st, and 11th percentiles. We note that the theoretical outcomes for Oz Lotto in FY24 were actually lower than FY23, largely due to the slower sequences used. This was the result of a depleted prize reserve fund that we previously flagged (see Powerball or Bust).

Exhibit 15 - Oz Lotto Monte Carlo Simulation Backtesting - Sales (A$m, y-axis), percentile outcome (#, x-axis)



Source: Company Data, E&P Estimates. Note Includes WA

Over the long term, we expect particularly Powerball and to a lesser extent Oz Lotto to outperform the rest of the games in the portfolio. This is naturally favourable to Jumbo given their exposure. However, for FY25, we expect a fairly material reversion to the 50th percentile, which will impact Jumbo more than TLC.

Exhibit 16 - Jumbo FY24 Exposure to Jackpot Games

	TLC			JIN		
	Actual	50th Percentile	Difference	Actual	50th Percentile	Difference
TTV (JIN) / Turnover (TLC)						
Powerball	3,098	2,642	-14.7%	299	255	-14.7%
Oz Lotto	1,165	1,031	-11.5%	114	101	-11.5%
Saturday Lotto	1,652	1,652	-	82	82	-
Other	1,432	1,432	-	38	38	-
Charity	-	-	-	11	11	-
Total	**7,347**	**6,757**	**-8.0%**	**544**	**487**	**-10.5%**
% of TTV (JIN) / Turnover (TLC)						
Powerball	42%	39%		55%	52%	
Oz Lotto	16%	15%		21%	21%	
Saturday Lotto	22%	24%		15%	17%	
Other	19%	21%		7%	8%	
Charity	-	-		2%	2%	

Source: Company Data, E&P Estimates

Daily Winners

Jumbo's Daily Winners

In Sep-23, Jumbo launched their own rewards club called 'Daily Winners' on the Oz Lotteries Platform. Members who join are eligible for various discounts and will go in the draw to win giveaway prizes. The current giveaways are $500 cash daily, a boosted $2,500 cash for Friday draws, and a major draw each month worth $25,000 to $100,000 in value. The discounts include gift cards from Woolworths, BCF, Apple, Big W, Dan Murphy's, Rebel, OPSM & Supercheap Auto. Furthermore, members are entitled to the following (not an exhaustive list):

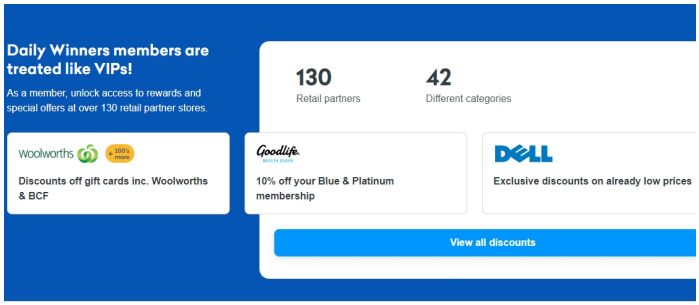
- 6% off Bupa Health Insurance
- 10% off Goodlife Health Clubs
- 10% off Amcal online chemists
- 25% off frames and lenses through Specsavers Premium Club

Exhibit 17 - Oz Lotteries Daily Winners



Source: Oz Lotteries

Exhibit 18 - Daily Winners - Discounts



Source: Oz Lotteries

Free Tier

Any Oz Lotteries member can sign up for the Daily Winners Free Tier and get an automatic entry into the daily $500 and Friday $2,500 draws. They are also eligible for a free entry into the major monthly giveaways but must manually unlock the entry each month. When you click to unlock the entry, you have the option to receive 1x entry for free, or sign up to the premium tier and receive 5x entries.

Premium Tier

Access to the premium tier costs $15 per month. Premium members receive 5x automatic entries in all Daily Winners giveaways and don't need to 'unlock' their entries into the major monthly giveaway. They also have access to additional discounts, such as those from Ampol Fuel and the Good Guys.

Exhibit 19 - Daily Winners - Unlock Entry into Major Giveaway



Source: Oz Lotteries

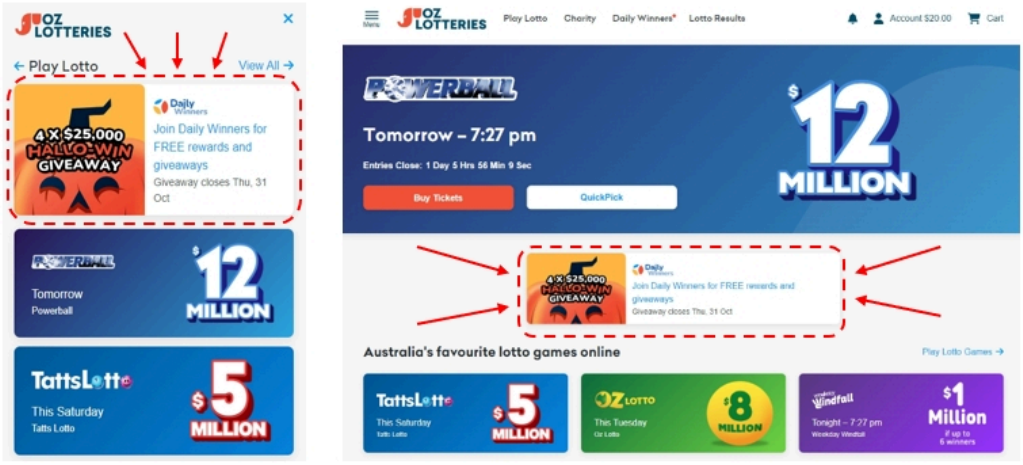
Strategic Benefits to Jumbo

We believe that Daily Winners offers two key benefits to Jumbo:

- Retention Benefits - players will now have more reasons to visit the Oz Lotteries website. Even if players only subscribe to the free tier, this will still improve the ability to cross-sell their traditional lottery products.
- Margin Expansion - the margins on loyalty clubs are typically far superior to Jumbo's current margins from TLC products (discussed further below).

We believe that Daily Winners is an underappreciated product by the market and will be a primary reason for Jumbo's growth in their Lottery Retailing segment over the next five years. Jumbo has placed the Daily Winners platform in prime positions on their website and mobile app with hopes to scale the product quickly.

Exhibit 20 - Oz Lotteries Website - Daily Winners in Premium Positions



Source: Oz Lotteries, E&P

What is a Trade Promotion?

The Daily Winners business model is based on a marketing technique called a trade promotion. A trade promotion is a type of lottery conducted to promote the products or services of a company. Trade promotions can be an efficient and effective way to drive sales, generate brand awareness, and promote brand loyalty. Entry to the lottery must be free of charge, however participants may be required to purchase the goods or services being promoted to enter. Examples of well-known trade promotions include McDonald's Monopoly & the Mr Beast Feastables Car Giveaway.

Exhibit 21 - McDonalds Monopoly Trade Promotion



Source: McDonalds

Exhibit 22 - Mr Beast Feastables Car Giveaway Promotion



Source: Feastables

Somewhere along the way, trade promotion operators realised that many people were more interested in the trade promotion prizes than the products themselves. Hence, the traditional model could essentially be flipped upside down to create a lottery-like business. The ideal product or service to “promote” would be one with incredibly high margins, making the trade promotion as close to a lottery as possible as opposed to an additional giveaway. Hence, the "Rewards Club" was born, whereby customers subscribe to a platform and get access to various things such as discounts, events, & website content.

LMCT+ Case Study

Business Overview

LMCT+ is Australia's inaugural and largest rewards club that offers attractive giveaways via a trade promotion. The company was founded in 2018 by Adrian Portelli, who was recently listed on the AFR's Young Rich List with a net worth of ~$1.03bn (~$0.8bn from LMCT+). Portelli also acts as the face of the company, appearing in the vast majority of the company's marketing ventures and personally calling the winners of major draws. LMCT+ typically runs around two major giveaways per week. The major prizes can include houses, cars, boats, caravans, & cash. There is also a monthly $100,000 giveaway and a daily $1,000 giveaway.

Exhibit 23 - LMCT+ Cash Giveaway



Source: LMCT+

Exhibit 24 - LMCT+ Car Giveaways



Source: LMCT+

Discounts

From a legal standpoint, these giveaways only exist to promote the underlying rewards club business. The main benefit is access to various discounts, which now feature 1,000+ stores. Historically, these were primarily automotive-related, such as smaller car repair or modification shops. These have since branched out to all sectors and include more recognisable brands such as Total Tools and Adore Beauty. The platform could be essentially considered a digital entertainment book. Other benefits include discounts on company merchandise or access to events.

Jumbo's Daily Winners includes brands that generally have a lot more everyday products from household names (i.e. Woolworths). This differentiates themselves from LMCT+ and other rewards clubs that are heavily skewed towards automotive products/services or luxury goods. Daily Winners may therefore appeal to the more family-friendly image that both TLC & Jumbo are pushing their lottery brands to be associated with.

Exhibit 25 - LMCT+ Rewards Club



Source: LMCT+

Scale

LMCT+ has amassed a significant following and is particularly active on social media. They have ~560k Facebook followers and ~400k Instagram followers, far more than The Lott (~425k/~25k) or OzLotteries (~220k/~11k). Initially, most members were young men aged 18-25 who were interested in sports cars. A wider array of prizes and member discounts helped expand their audience. LMCT+ has also launched a spin-off rewards club called Luxe Plus, which is tailored towards female subscribers by offering luxury fashion giveaways and beauty product discounts.

In May-23, the AFR reported that Portelli was rumoured to be considering selling the business. LMCT+ allegedly had ~100k active members and was reportedly earning $60m in annual revenue at a 75% EBITDA margin. However, we have seen figures of anywhere up to 500k users. More recent numbers from The Australian in Mar-24 suggested revenues above $100m. We can also consider the reported $800m valuation that LMCT+ contributed to Portelli's worth. If this was based on a 10x EBITDA multiple, $80m of EBITDA @ 75% margin would imply ~$107m of revenue.

Subscription Model

LMCT+ operates using a subscription model with two different membership types: (i) loyalty memberships & (ii) one-off memberships. Each offer has multiple tiers within them offering various benefits to members. The benefit that most members are actually interested in is how many entries they will get in the promotional giveaway draws.

Loyalty Memberships

Loyalty memberships are designed to reward members who have been a part of the club the longest. This is achieved via an accumulating entries model, whereby entries 'never expire'. For example, a customer on the entry-level subscription will earn one entry for every month they are a member. This means that someone who has been a member for one year will have twelve times as many entries as someone who has been a member for one month. Tiers give the ability to sell more tickets, as those in the Premium or Elite tiers will earn four and ten accumulating entries per month respectively.

Exhibit 26 - LMCT+ Loyalty Member Packages

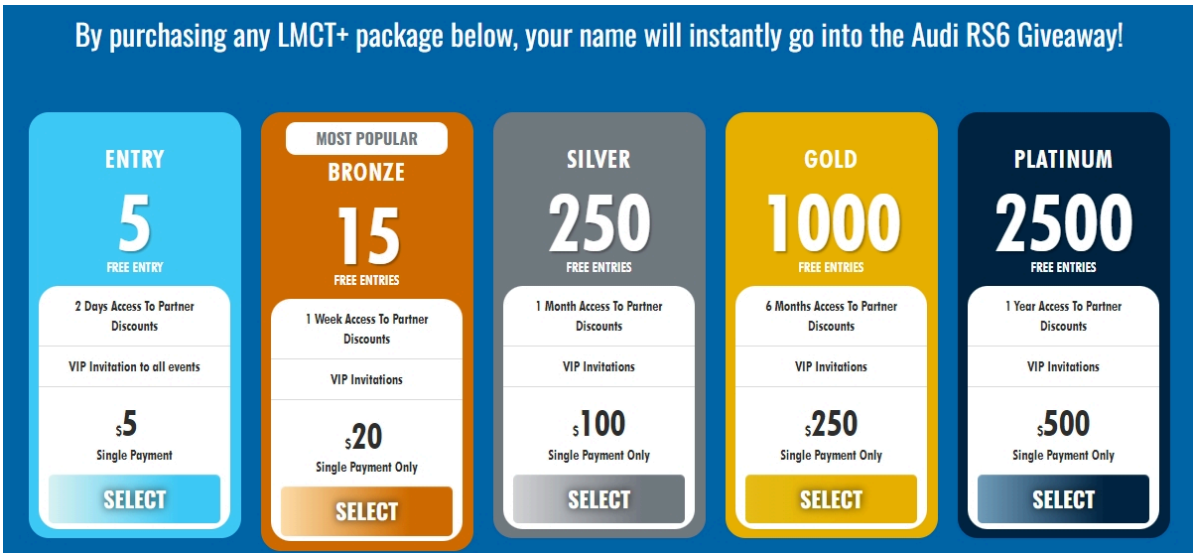


Source: LMCT+

One-Off Memberships

The other way of earning entries is through one-off memberships. Once again, from a legal perspective, they still need to promote the underlying product (discounts), and each additional tier of membership needs additional benefits. From a practical perspective, the important element customers are interested in is how many entries they can get. One-off memberships offer short-term access for people who are specifically interested in a certain prize (e.g. a house from the TV show 'The Block'). These memberships can be combined with regular loyalty memberships or stacked multiple times with other one-off memberships.

Exhibit 27 - LMCT+ One-Off Membership Packages - Audi Giveaway



Source: LMCT+

Daily Winners' Membership Differentiation

Daily Winners is unique to most other rewards clubs as they don't use the accumulating entries model. This may increase the churn of players because there are fewer consequences of leaving the platform. However, it adds a level of integrity & transparency to the draws and may appeal to those concerned that they are too late to join other rewards clubs.

The other key differentiator is the free membership tier option. The sentiment of a free entry also appeals to players and potentially gives an impression of generosity as opposed to a greedy gambling company. The Daily Winners free tier is only practical or economically viable because Jumbo has other lottery tickets to cross-sell. LMCT+ and other rewards clubs don't really have this option, as their only source of revenue excluding the subscriptions is typically from company merchandise, which we believe is not substantial.

Other Rewards Clubs

Scale

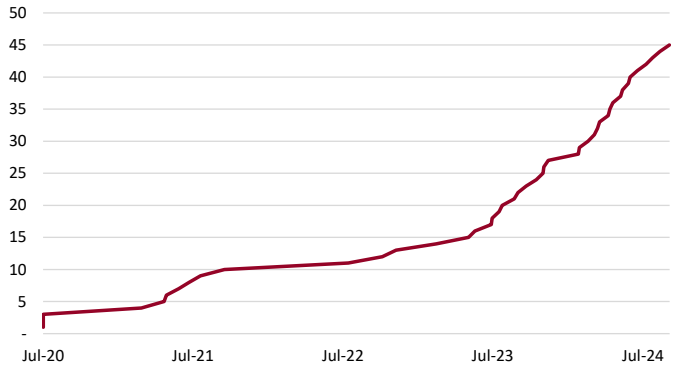
While LMCT+ was the original trailblazer in Australia, the rewards club giveaway model has become one of the fastest-growing business ventures. In fact, we have identified more than fifty other businesses offering raffle-like giveaways.

Nearly all the businesses use a subscription-based model that offers discounts as their promoted goods or services. In some small instances, promoted items also include access to events, news articles, wallpapers, & other general website content. However, we note that at times, it was difficult to identify what the underlying business actually was. Many of the companies' content appeared almost exclusively focused on the giveaways. Particularly some smaller and newer companies seemed to be treading a fine line when it comes to meeting the standards of a trade promotion.

The most common giveaways are cars, which were the sole giveaway of around half the businesses. Other giveaways we found multiple times included boats, caravans, luxury fashion, electronics, getaways, watches, & gaming products.

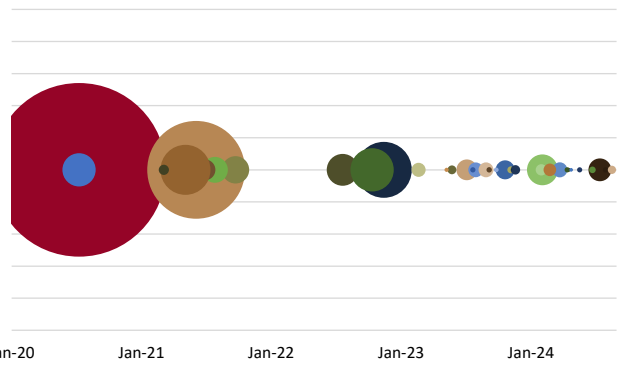
The most important legal requirement needed to run a trade promotion in Australia is a NSW permit. Any giveaway offered in NSW above $10,000 needs to disclose this permit number in their terms & conditions. All the permits are issued in chronological order and began in Jul-20 following changes to the NSW Community Gaming Regulation (2020). From these permit numbers, we are able to get an understanding of the ramp up of these businesses. Approximately half these permits were obtained in the last twelve months. As expected, the largest rewards clubs according to web traffic have typically been those formed earlier on.

Exhibit 28 - Cumulative number of Rewards Clubs based on the date they acquired a NSW Trade Promotion Permit



Source: NSW Government, E&P Estimates

Exhibit 29 - Size of Rewards according to Website Traffic based on the date they acquired a NSW Trade Promotion Permit

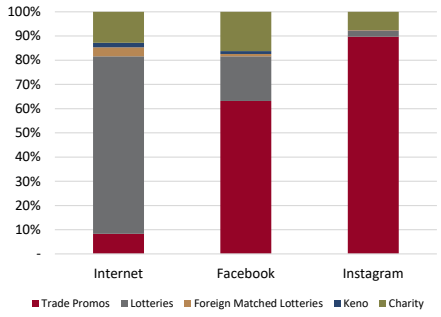


Source: SimilarWeb, NSW Government, E&P Estimates

Marketing vs. Other Lotteries

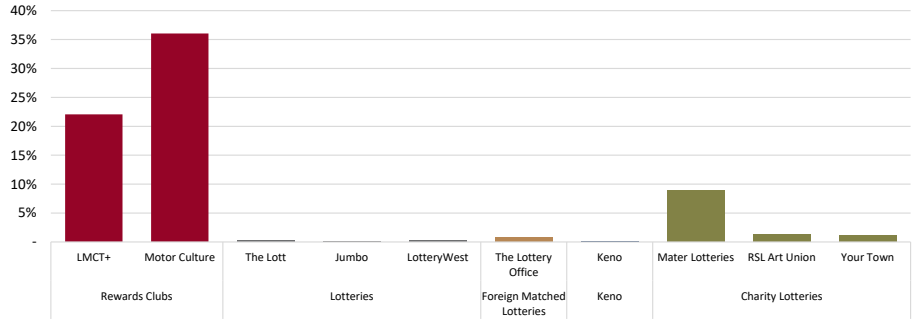
These rewards clubs often attract a different demographic of players to traditional lotteries and are very heavily reliant on social media for referrals. Our team can confirm that after researching some of these companies, our social media feeds featured ads that had become almost 100% targeted towards similar rewards clubs. Thus, once you are in their advertising ecosystem, you will keep seeing their content.

Exhibit 30 - Breakdown of Cumulative Internet Traffic & Social Media Followers by Lottery-Like Product



Source: SimilarWeb, Facebook, Instagram, E&P Estimates

Exhibit 31 - Proportion of Internet Traffic generated from Social Media



Source: SimilarWeb, E&P Estimates

Use of Charities

Some rewards clubs have attempted to appeal to the masses by partnering with various charities and pledging to donate a certain proportion of the profits. LMCT+ had their own charity called Little Legends until FY22. Another example is the rewards club Raffle Saints, who promoted themselves as a major partner of The Smith Family charity. However, not too long ago, their terms and conditions stated that only 1% of profits from promotions would be donated. The company has since rebranded to RS Rewards, which we presume was because they legally couldn't call themselves a raffle. They have also scrapped the angel wings from their logo and increased the proportion of profits donated to 10%.

Exhibit 32 - LMCT+ Little Legends Charity



Source: LMCT+

Exhibit 33 - RS Rewards previous promotion



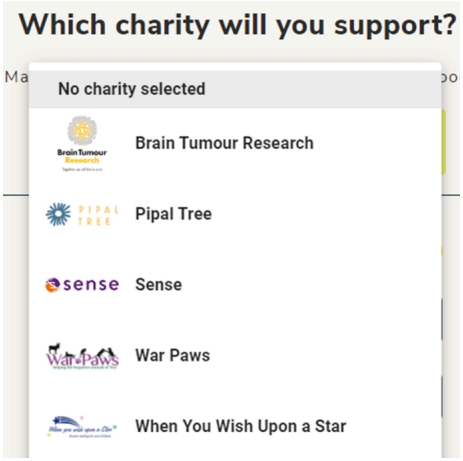
Source: RS Rewards

Jumbo's Potential Charity Angle

We believe Jumbo should involve charities in their Daily Winners club but do so in a very transparent manner. This model is best seen in the UK with companies such as Raffle House & Omaze, both for-profit giveaway organisations that have grown to tremendous scale. Raffle House allows players to directly choose a charity to support with each purchase, while Omaze guarantees charity partners 17% of total sales from each House Draw.

This revenue sharing model has somewhat shielded Raffle House & Omaze from regulation given how dependent the charities have become on the proceeds. This is evidenced by the fact that Omaze was invited to make a submission to the DCMS Committee Inquiry into Gambling Regulation, following the publication of the Gambling White Paper.

Exhibit 34 - Raffle House (UK) Charity Options



Source: Raffle House

Exhibit 35 - Omaze Charity Fundraising



Source: Omaze

Kogan Case Study

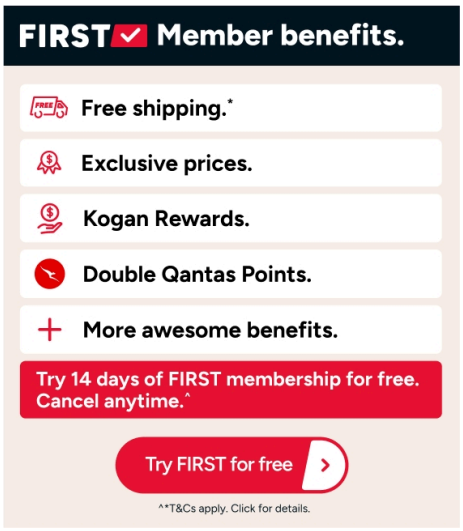
Third Type of Trade Promotion

Jumbo's Daily Winners is similar in nature to online retailer Kogan's product, 'Kogan FIRST'. We believe these two products form the third type of trade promotion business model.

1. Traditional businesses that run a trade promotion to promote a good or service.
2. Rewards club giveaway businesses whose trade promotions are the primary attraction of members.
3. Traditional businesses who have added a rewards club as a side venture (hybrid model).

In late FY19, Kogan launched Kogan FIRST, offering membership benefits such as free shipping, exclusive discounts & double Qantas points. However, a key attraction has become trade promotion giveaways, such as the $100,000 September cash prize.

Exhibit 36 - Kogan FIRST Membership Benefits



Source: Kogan

Exhibit 37 - Kogan FIRST Trade Promotion Giveaway



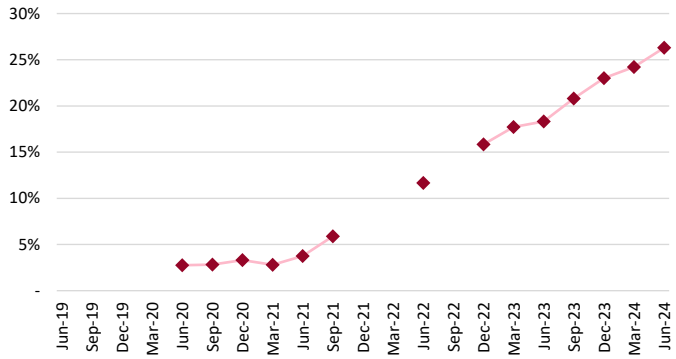
Source: Kogan

Scale

Kogan FIRST has grown to over 502k subscribers, up from 120k in Jun-21. This is significant given the underlying platform Kogan.com has shrunk by -40.5% over the same period. Furthermore, Kogan FIRST subscribers represent 61% of gross sales in FY24, despite representing just 26% of the total active customer base. The unit economics of the Kogan FIRST platform itself are highly favourable, with a gross margin typically ~80%+. Kogan has stated that the majority of their marketing effort has transitioned towards building the Kogan FIRST platform.

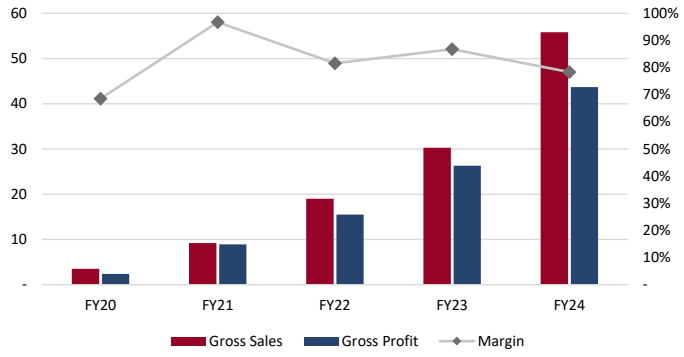
We believe the Kogan First case study bodes well for Daily Winners. Kogan was able to successfully migrate their existing user base to scale their new product. This translated into a more loyal key customer for their existing business and improved their overall gross profit margins.

Exhibit 38 - Kogan First Members / Total Kogan.Com Members



Source: Company Data, E&P Estimates

Exhibit 39 - Kogan First Gross Sales/Profit (A$m, LHS) & Margin (%, RHS)



Source: Company Data, E&P Estimates

Daily Winners Competitive Positioning

Product Differentiation & Market Dynamics

We believe Jumbo has the following advantages in scaling Daily Winners relative to the other rewards clubs:

- Jumbo has over one million active users that it can leverage and can easily finance all giveaways.
- Jumbo can offer a free tier to build up customers' confidence in the platform.
- As a licenced reseller of authorised lotteries, Jumbo has a sense of legitimacy compared to other platforms.
- Jumbo has the ability to more transparently partner with charities to improve the platform image.
- Jumbo should be able to attract more headline names as discount partners.
- Cash winnings are deposited into the player's account, increasing the chance of reinvestment.

Potential Scale

Daily Winners has performed well so far, with 15% of active Oz Lotteries customers registering for the free tier. The premium tier only launched in Aug-24, with management hoping for 30k users by the end of FY25.

If Oz Lotteries were able to get a meaningful portion of their active customer base to migrate on to Daily Winners, this could generate a significant increase in gross profit. If you assume that the premium tier remains $15 per month, with 10% of Oz Lotteries members becoming Daily Winners premium members, this would generate $19.6m of revenue per year or $9.8m of gross profit assuming a 50% margin. Although we believe there could be some cannibalistion from their traditional lottery products, this may be offset by increasing player engagement in the platform. Any direct shift in spend would also be at a much higher margin.

Exhibit 40 - Daily Winners Gross Revenue (A$m) based on Oz Lotteries Adoption & Gross Margin

		% of Oz Lotteries Active Members who become Premium Daily Winners Members							
		2.5%	5.0%	7.5%	10.0%	12.5%	15.0%	17.5%	20.0%
Gross Margin	30%	$1.5	$2.9	$4.4	$5.9	$7.4	$8.8	$10.3	$11.8
	40%	$2.0	$3.9	$5.9	$7.9	$9.8	$11.8	$13.7	$15.7
	50%	$2.5	$4.9	$7.4	$9.8	$12.3	$14.7	$17.2	$19.6
	60%	$2.9	$5.9	$8.8	$11.8	$14.7	$17.7	$20.6	$23.6
	70%	$3.4	$6.9	$10.3	$13.7	$17.2	$20.6	$24.1	$27.5
	80%	$3.9	$7.9	$11.8	$15.7	$19.6	$23.6	$27.5	$31.4

Source: Company Data, E&P Estimates

Regulation

Current Status

In Oct-23, media reports stated that both the Victorian & South Australian gambling regulators were investigating LMCT+ after receiving multiple complaints from the public. NSW's Office of Fair Trading said it previously had investigated LMCT+ in 2022 and found no evidence of any wrongdoing. We note that, although regulated, trade promotions are not gambling. Therefore, they are not subject to the same scrutiny that traditional licenced operators receive. There are also fewer consumer protections in place. For example, subscribers cannot self-exclude via BetStop or set deposit limits.

We previously mentioned that the federal government has announced a view into foreign matched lottery operators & online keno. Our industry feedback suggests that trade promotions are not part of this review.

Potential Regulation

If governments were to try and regulate these businesses, it would be challenging for the following reasons:

- Trade promotions have historically been a legitimate way to promote a business product or service. There are ~3,800 trade promotions that have been approved in NSW. Based on how we thoroughly examined them, we would expect that no more than 100-150 of these would be reward clubs giveaway businesses.
- Regulations would need to be somewhat uniform across states. We have historically seen that state attempts to enforce rules on interstate trade have not always been successful (e.g. online wagering out of the Northern Territory).

Key Stakeholders

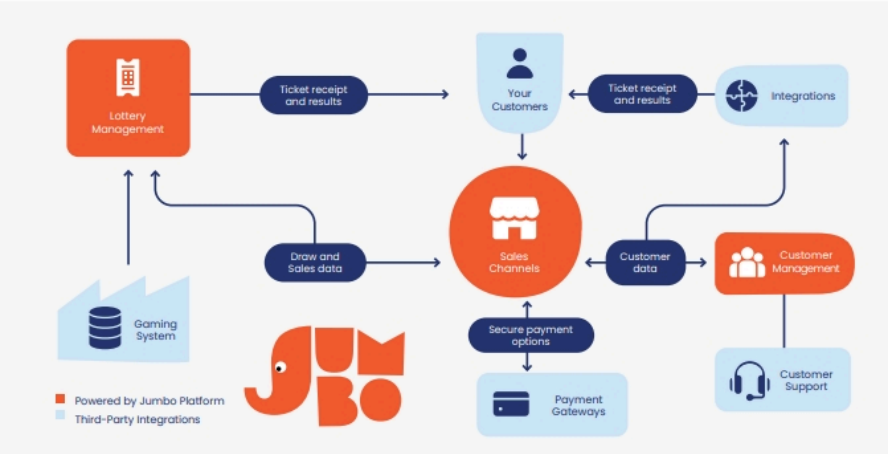
- Reward Clubs - We expect these will continue to scale given the low barriers to entry yet high operating margins.
- Charity Lotteries - Charities are in most instances only able to offer non-cash prizes, which are now being saturated by rewards clubs. They also rely on social media as a means of advertisement more than the other traditional forms of lottery. Media reports state that Queensland charities have been lobbying the state government for restrictions on rewards clubs, stating "members estimate a loss of some $61.6 million as a direct result of for-profit trade promotion businesses." If charities are unsuccessful in lobbying for change, they may be individually best off partnering with these rewards clubs.
- Lottery Retailers (land-based) - Any cannibalistion of retail sales would have a negative impact on retailers.
- TLC - Theoretically, TLC could also move into this business vertical and would benefit from even greater margin expansion than Jumbo. However, any move into giveaways would somewhat undermine the monopoly lottery licences they have acquired. We suspect that TLC may look to lobby for changes to trade promotion regulations following the current review into foreign matched lotteries & online keno.
- State Governments - As we previously mentioned in the lottery retailing section, state governments have an incredibly high tax rate of lottery revenue. Meanwhile, trade promotions are just taxed like ordinary business operations.

SaaS

Segment Overview

Over multiple decades, Jumbo had a built an internal technology platform that exclusively serviced their Lottery Retailing business. In 2018, they began licensing their 'Powered by Jumbo' (PBJ) digital lottery platform as a solution to government and charity lottery operators (B2G/B2B). These tailored solutions include website creation, draw management, payment processing, marketing integration, customer support & regulatory compliance. SaaS fees range between ~3.0% and ~9.0% of TTV.

Exhibit 41 - Jumbo's 'Powered by Jumbo' SaaS Platform



Source: Company Data

The largest client of the SaaS division remains their own internal Oz Lotteries retailing business. A fee of 7.5% is charged on TTV, which is recorded as a cost of sales for Lottery Retailing and then offset through InterSegment elimination line items. The fee is based on the premise that PBJ has been developed for this internal customer over many years at a significant investment relative to other customers. Given how big the InterSegment fee is relative to the remaining SaaS clients, the segment performance will largely move with lottery retailing in the near future.

LotteryWest

OzLotteryWest

LotteryWest (WA's government-run lottery operator) is Jumbo's largest external SaaS client (by revenue). WA was initially a part of the lottery retailing segment. In Sep-20, Jumbo signed a 10-year agreement to provide a white-label software platform. This was because LotteryWest wanted all tickets to be purchased within WA and processed directly from LotteryWest's gaming system in real time. Customer ownership was transferred to LotteryWest, but Jumbo would still run the oz.lotterywest.com website and receive a 9.5% service fee instead of a retailer commission. In Nov-23, the agreement was amended to a service fee of 8.0% of gross ticket sales up to $35 million & 9.0% of gross ticket sales greater than $35 million.

LotteryWest RFP

Although the WA transition from lottery retailing to SaaS did result in a lower margin offering, it opened up the opportunity for Jumbo to expand their relationship with LotteryWest. Jumbo was hopeful that they could win a contract to run the online portion of LotteryWest's

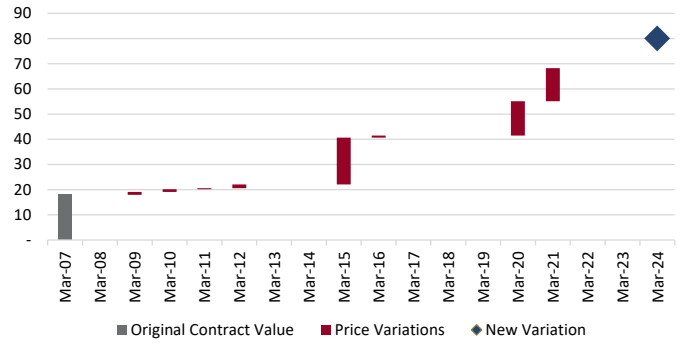
gaming solution needs. This was a potential growth area that they flagged in their 2022 investor day. However, Intralot recently announced that they had extended their gaming operations solution contract until 2029.

Intralot's Australian Operations & LotteryWest Contract

Intralot is a gambling services provider based in Greece. Intralot's primary operations in Australia are providing electronic monitoring systems and the YourPlay pre-commitment scheme for gaming machines in Victoria. They also had an unsuccessful tenure as a Keno & Instants provider in Victoria from 2007-2014 (dual licence setup with Tatts), where they eventually surrendered their licence back to the government.

Intralot has held the LotteryWest contract since Jun-08. It had been extended three times through to Jan-26, typically without a public tender and at least one year in advance of the contract expiration date.

Exhibit 42 - Intralot Gaming Solution contract with LotteryWest (A$m)



Source: WA Gov, E&P Estimates

Jumbo's Opportunity

Per Jumbo's investor day, LotteryWest initiated an RFI process in Feb-22. This was only ~1 year after the signing of their latest extension, well before the Jan-26 expiry date. Given that LotteryWest had initiated a global search, this could be a potential indicator that they were looking to move away from Intralot's gaming system. The RFP process then became delayed, which we believe was partly due to a change in CEO.

Although Intralot was recently granted an extension, we believe this was just a temporary measure. LotteryWest has an ongoing Gaming System Replacement (GSR) project outlined in their annual report. They state their intention to release a final draft Request for Tender (RFT) throughout 2025 and begin an international competitive tender process. LotteryWest has already closed an early tender advice request for a GSR in Oct-24. A full RFT is expected to be released in 1Q25, with up to 12-months to award the contract and up to 18-months to implement the new system.

Jumbo would be capable of providing the online solution, but does not have the capacity to provide the land-based systems. Per an early tender advice briefing, the land-based core gaming system is a primary element of the contract and will be awarded to only one applicant, with the ability to subcontract arrangements should they wish to do so. The likely bidders for this would be Intralot, SciGames, NeoGames, and IGT. The online component that Jumbo would be applying for is a secondary element that may be awarded if LotteryWest deems that a proposal presents business value. We expect Jumbo would seek to partner with one of these businesses seeking the primary core gaming system contract when submitting their tender for the secondary online component.

Scale of Opportunity

Had the GSR process not been delayed and Jumbo successful in their bid for the LotteryWest SaaS contract, then we estimate the revenue from this contract could have been at least $8.5m of revenue in FY27. This is assuming a modest 2% share of digital turnover (ex. oz.lotterywest).

Exhibit 43 - Hypothetical LotteryWest Online Gaming Solution Contract

	Units	FY22A	FY23A	FY24A	FY25E	FY26E	FY27E	Notes
LotteryWest Sales	A$m	1,200.7	1,227.2	1,386.5	1,299.4	1,384.2	1,439.6	<< Rebase to 50th percentile for FY25 then grow at 4% p.a.
Digital Share	%	22.5%	24.8%	27.7%	29.7%	31.7%	33.7%	<< Assuming 2% growth
Digital Sales	A$m	270.1	304.4	384.1	385.9	438.8	485.1	
Oz.LotteryWest Share	%	12.9%	12.3%	12.3%	12.3%	12.3%	12.3%	<< Assuming Flat
Oz.LotteryWest Sales	A$m	34.8	37.4	47.2	47.5	54.0	59.7	
Digital Share ex-Oz.LotteryWest	A$m	235.3	266.9	336.8	338.4	384.8	425.5	
Gaming Solution Fee	%					2.0%	2.0%	<< Rebase to 50th percentile for FY25 then grow at 4% p.a.
Timing Adjustment						47.1%		<< Intralot previous contract expired 9-Jan-26
Jumbo Revenue	**A$m**					**3.8**	**8.5**	

Source: Company Data, LotteryWest, E&P Estimates

Other Government Contracts

Unfortunately for Jumbo, Intralot's announcement delays any potential WA contract until FY29. However, the bigger upside in the scheme of things is the potential to demonstrate their capacity to run an online government solution, given Jumbo is approaching full scale in Australia & the majority of the growth upside is in overseas deals.

Jumbo's strategy is to expand into English-speaking & regulated markets. The most likely options are US & Canada. Both have state/province-operated lotteries. In the US, only 14 states have legalised online lotteries & only 12 are operational. We believe Jumbo's best opportunity over the next 10-years would be to position themselves for when states legalise online lotteries. Entry into the US

may require a JV with an existing lottery provider given Jumbo doesn't have a US presence & US lotteries are heavily skewed towards instants, which is not Jumbo's speciality.

Charity SaaS

Charities form the remainder of Jumbo's SaaS clients. In Australia, there are ~60k registered charities. Charity lotteries are one of the most effective ways for them to raise revenue. Prior to 2018, Jumbo already had a pre-existing footprint in charity lotteries, but only as a lottery retailer. Looking to expand, they identified that charity lotteries were under-serviced in online SaaS solutions. In Nov-18, Jumbo announced the signing of the Mater Foundation as their first major contract. Jumbo then also signed the Endeavour Foundation & Deaf Connect the following year. These three clients remain Jumbo's largest charity partners today.

Exhibit 44 - Jumbo SaaS Clients



Source: Company Data

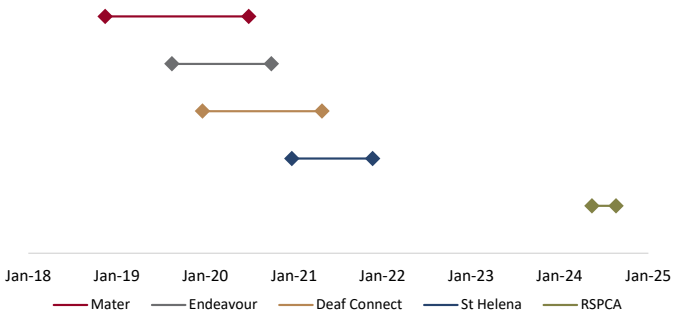
Jumbo then went through a period with no major client signings, raising some concerns their expansion away from lottery retailing in Australia had reached maturity. However, in May-24 Jumbo announced the signing of the RSPCA as its newest client. We believe Jumbo's product offering has significantly improved since launching their innagural PBJ solution with Mater. Despite only being announced in May, the RSPCA lottery is already live on the PBJ platform. This is a much faster adoption than any of Jumbo's other sizeable clients.

Exhibit 45 - RSPCA Lottery - Newest Major Jumbo SaaS Client



Source: RSPCA Lottery, Company Data

Exhibit 46 - Time from Announcement of SaaS contract to being live on Jumbo's Platform



Source: Company Data, E&P Estimates. Note: St Helena recently migrated to Managed Services

The Mater Foundation has performed particularly well since moving onto the PBJ platform. From FY15 to FY20, Mater did not experience any lottery revenue growth. This is well below some other major charities such as the RSL Art Union, which more than doubled. However, since FY21, Mater has grown by 70%, with our feedback suggesting that they have fully embraced Jumbo's technology stack & suggestions.

Since FY21, cumulative PBJ charity lottery sales have outperformed major non-PBJ charity sales. Although we don't have the individual charity data, we estimate that Jumbo's charity SaaS TTV saw +17.1% incremental growth in FY24 based on Jumbo's reported figures. This is despite no major launches during that time period.

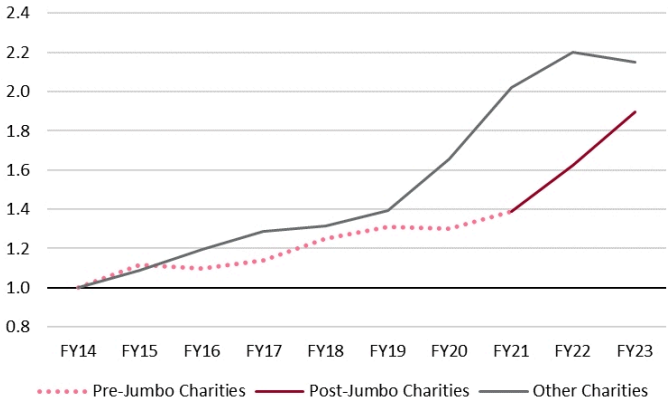
Exhibit 47 - Lottery Revenue from Major Australian Charities

	Units	FY14	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23
Jumbo SaaS Clients											
Mater Foundation	A$m	47.0	52.4	50.2	50.6	52.3	54.0	50.6	52.8	68.7	89.8
Endeavour Foundation	A$m	11.0	22.5	21.9	23.6	29.0	30.8	32.1	35.9	39.0	39.1
Deaf Connect	A$m	21.3	13.7	15.3	16.3	17.9	19.2	20.5	21.7	21.2	21.5
Total	A$m	**79.4**	**88.6**	**87.4**	**90.5**	**99.2**	**103.9**	**103.1**	**110.4**	**128.8**	**150.4**
Non Jumbo SaaS Clients											
RSL Art Union	A$m	74.7	84.1	101.3	114.5	120.5	130.8	169.1	207.4	224.3	213.6
YourTown	A$m	55.4	57.6	58.4	59.8	60.2	61.8	66.7	81.0	84.9	80.5
Surf Life Saving	A$m	24.7	26.7	25.0	24.6	22.6	22.9	20.7	24.0	31.4	38.5
Total	A$m	**154.7**	**168.4**	**184.7**	**199.0**	**203.2**	**215.5**	**256.5**	**312.4**	**340.5**	**332.6**

Transitioned to Jumbo SaaS Platform

Source: E&P Estimates, Company Data, Charity Data, ACNC. Note: RSL Art Union are CY's. Endeavour, Deaf Lottery & Surf Life Saving are fundraising/commercial income which we believe are majority lotteries.

Exhibit 48 - Charity Lottery Revenue Index (FY14 = 1.0)



Source: E&P Estimates, Company Data, Charity Data, ACNC. Note: RSL Art Union are CY's. Endeavour, Deaf Lottery & Surf Life Saving are fundraising/commercial income which we believe are majority lotteries. Deaf Lottery Adoption was FY22.

Managed Services

Segment Overview

Jumbo's Managed Services segment provides lottery management services to charities in the UK and Canada. These services include prize procurement, game design, campaign marketing, and draw management. Customers also have access to Jumbo's proprietary software platforms. The segment is similar to the SaaS segment but focuses more on overseas markets. Jumbo earns a fee for providing lottery management services calculated as a percentage of TTV.

M&A Strategy

The rationale behind Jumbo's expansion into the managed services segment is similar to the launch of their SaaS business. Jumbo had a desirable tech stack that could be scaled and migrated into overseas markets. They were also approaching full-scale in Australia and were highly exposed to their TLC reseller agreement as the overarching key business risk. Overseas expansion was therefore both a growth opportunity and reduced counterparty risk.

Jumbo had previous unsuccessful attempts at penetrating overseas lottery markets in Germany & Mexico as an online retailer. Each of these ventures ultimately failed for different reasons. In Germany, the regulator proved ineffective at stopping grey market operators, and in Mexico, Jumbo's counterparty could not secure the necessary licences.

Since their first acquisition announcement of Gatherwell in 2019, Jumbo's M&A strategy has been focused on the following:

- Primarily charity partners with strong client relationships.
- Highly regulated markets.
- A preference for English-speaking countries with a similar culture.
- Opportunities to drive growth using Jumbo's technology and expertise.

Jumbo's recent acquisitions into the UK & Canada naturally meet these criteria. Other potential less-risky markets for expansion include the USA, Ireland, & New Zealand.

Financially speaking, Jumbo is targeting the following:

- EBITDA ≥A$3m per annum.
- Typically, a 5x-7x EBITDA multiple.
- EPS accretion (typically in the first year).
- Attractive financial profile.

Jumbo recently walked away from a third UK acquisition deal in May this year after the vendor wanted to renegotiate terms at the last hour. Although a potentially disappointing outcome given the investment management made, their withdrawal demonstrates a level of financial discipline. Furthermore, Jumbo is not short on potential M&A targets and retains a strong net cash position to pursue these opportunities.

Starvale & Gatherwell - UK

Business Descriptions

In Nov-19, Jumbo acquired Gatherwell for a total consideration of £5.0m (after earn-outs). Gatherwell provides a full digital lottery solution for small-to-medium not-for-profits across the UK as an External Lottery Manager (ELM). Gatherwell's main customers are schools, local authorities/councils, and small society lotteries. Jumbo later acquired a larger UK company called StarVale in Nov-22 for a total consideration of £23.0m. StarVale offers a full lottery management service and also owns a supplementary digital payments company called DDPay. StarVale is the second largest ELM in the UK with over ~1m active lottery players across ~45 medium-to-large charities.

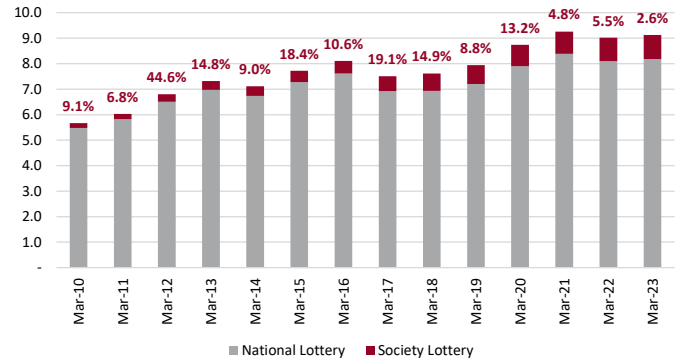
Market Size & Competitive Dynamics

UK charities who wish to fundraise from charitable gaming typically need to obtain a 'Society Lottery' licence from the UKGC. Currently, there are 474 active licenses. These society lotteries combine for a total of £944m in annual sales. Small charities (most of Gatherwell's clients) are issued by local authorities instead, with our industry feedback indicating a market size of ~£50m.

Although far lower than the national lottery (£8,184m), society lotteries have increased their proportion of total lotteries sales from just 3.4% for the year ending Mar-09 to 10.3% in Mar-23. However, growth has moderated over the past three years to mid-single digits after predominantly double-digit growth throughout the 2010s.

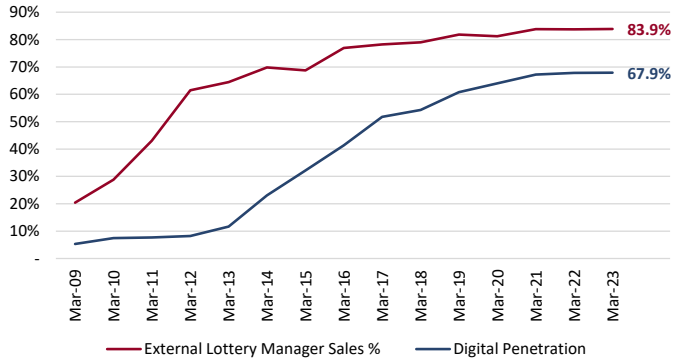
ELMs also need to be licenced by the UKGC. There are currently 30 active ELM licences. We believe the market is now well serviced by these providers. ELMs now manage 83.9% of the total society lottery sales, with only marginal growth over the past five years. Furthermore, digital penetration has also flattened, suggesting that most of the society lotteries that would be willing to migrate online have already done so.

Exhibit 49 - UK Annual Lottery Market Size (£bn.) - Society Lottery yoy growth as label



Source: UKGC, E&P Estimates

Exhibit 50 - UK Society Lottery Key Metrics



Source: UKGC, E&P Estimates

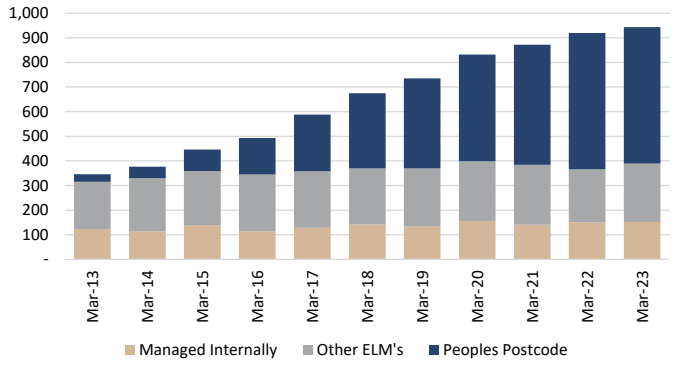
Market Share / Peoples Postcode

Gatherwell & StarVale have ~1.3%/7.2% market share respectively. The dominant ELM in the UK is People's Postcode, who have ~58.8% market share. Peoples Postcode is a part of the Postcode Lottery Group, a private company fully owned by a non-profit foundation. The group is reported to be the third largest private charity donor in the world. They launched their flagship Dutch Postcode Lottery in 1989 and now have major operations in five countries - Netherlands, Sweden, the UK, Germany, & Norway.

Peoples Postcode launched their UK venture in 2005, which has grown rapidly to 29% of the group's overall sales. For the year ending Mar-09, Peoples Postcode had ~8.8% market share in the UK. Since then, the rest of the market has been essentially flat, while Peoples Postcode has grown 18.2x in size. Their UK branch has 20 Postcode Trusts, each a registered independent charity.

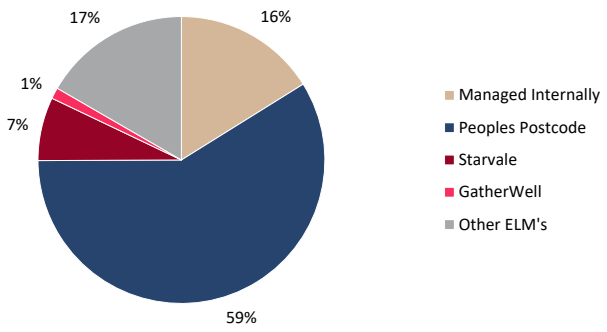
Their organisational structure means they effectively act as the ELM for a society lottery they control. This structure gives them full freedom to be innovative and move much faster than most traditional charities. We believe position as effectively a B2C operator is a major factor to their success in gaining market share and are pleased to see Jumbo attempting to replicate this model with 'Jumbo Win' (discussed later).

Exhibit 51 - UK Society Lottery Sales by Manager (£m's)



Source: UKGC, UK Government, Company Data, E&P Estimates. Note: People Postcode revenue is for 31-Dec year end (3-months prior to other figures)

Exhibit 52 - Market Share of UK Society Lottery Sales by Manager



Source: UKGC, UK Government, Company Data, E&P Estimates. Note: UKGC figures are for year ending Mar-23, all others are Dec-22 ending.

Overall Industry Growth

We expect the market to continue to grow more so at the low single-digit percentages seen over the last few years rather than the double-digits in the prior decade. Society lotteries in the UK are facing a similar challenge to charity raffles in Australia. Both are being impacted by commercial-owned giveaway companies. The UK companies, which include Raffle House, Omaze, BOTB, & Elite Competitions, have been around far longer than the Australian iterations and achieved greater scale.

Society Lotteries have been pushing for regulation of these giveaway companies for many years. In 2022, The Postcode Lottery responded to the call for evidence from the DCMS Select Committee's Inquiry on Gambling Regulation. One of their two key priorities was enacting regulation on commercial prize draws. They suggested that giveaway companies should be subject to the same regulation that society lotteries are bound by. The UK Gambling Commission has also received multiple complaints about these corporate business models but has stated that the prize competitions do not fall under the Gambling Act 2005.

The Postcode Lotteries' other recommendation was to remove the annual cap on society lottery fundraising. Among other rules, large society lotteries have a maximum annual sales cap of £50m. Restrictions on society lotteries have been in place since the 1960s. The caps have been gradually lifted over time to allow society lotteries to grow while maintaining the position of the National Lottery. The limits were last lifted in 2020, with the government stating its intention to further increase the maximum sales cap to £100m per annum. Postcode Lotteries stated that three of their trusts were close to the ceiling in 2022, forcing them to take remedial action by reducing their ticket prices

Market Share Gains

While raising the society lottery caps would benefit the overall market size, we believe this change would negatively impact Jumbo's market share. Part of the reason the government recently chose to maintain the cap was that “only one operator (managing 20 lotteries) would currently benefit from further increases”, i.e. Postcode Lotteries. Starvale generated ~£88m across ~45 charities in FY24, of which we believe none were close to reaching the current £50m cap.

Jumbo could gain market share via the following avenues:

- Organic growth of current charities - This will have been Jumbo's first course of action given the need to integrate their Australian developed tech into both Gatherwell & StarVale.
- Signing society lottery clients who are internally managed - Jumbo' should target this market, but we note that ELM usage has not materially increased over the past five years. The current market size is ~£152m.
- Signing charities who do not have a society lottery licence - There are ~170k total charities in the UK, 1.55k of which have > £10.0m in annual revenue.
- Poaching a society lottery client from a rival ELM - This is more challenging than a traditional market given that the 20 Postcode Trusts (~59% market share) would not be realistic targets. Hence, the market to target is likely ~£157m instead of ~£712m.
- More bolt-on acquisitions - We expect Jumbo to continue to pursue M&A. The market size would also be ~£157m.
- Adopt a supplementary B2C business model - See below.

Jumbo Win

A potential avenue to generate growth is for Jumbo to act as more of a B2C player than a B2B. This would entail somewhat of a hybrid model that has elements of commercial giveaway companies like Omaze and the market-leading ELM Postcode Lotteries. Not only would this provide another source of revenue, but it would also enable Jumbo to exercise more control over the game management.

In Feb-24, Jumbo launched 'Jumbo Win', a proof of concept collaboration between Gatherwell and StarVale. This was Jumbo's first direct-to-consumer offering in the UK via the jumbowin.co.uk website. The headline game is currently the 'Golden Ticket'. In this game, players have the chance to win multiple smaller prizes worth £50,000 and then ultimately a further £50,000 main prize that is drawn in Dec-24. Each draw has a new charitable partner whereby Jumbo donates a portion of every ticket sold.

Exhibit 53 - Jumbo Win - Golden Ticket Concept



Source: Company Data

Exhibit 54 - Jumbo Win - Golden Ticket UK Draw



Source: Company Data

Stride - Canada

Business Description

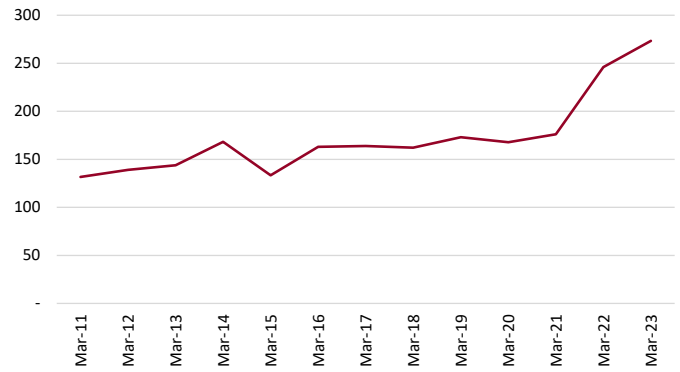
In Jun-22, Jumbo acquired a Canadian ELM called Stride for a total consideration of CAD$11.125m (after earn-outs). Stride performs similar functions to Jumbo's UK businesses, offering a fully turnkey lottery service to charities and not-for-profits across Canada. Stride currently services charities mainly in Alberta and Saskatchewan. Stride has also obtained licences in New Brunswick, British Columbia, Ontario, and Manitoba since being acquired. However, Stride is currently underdeveloped in these markets.

Market & Growth Opportunity

Canada is much more fragmented than the UK. Charity lotteries and EGM's are regulated by each province as opposed to a national regulator. Stride has ~10% market share in the overall Canadian market (~C$1.2bn) and ~40% share in Alberta and Saskatchewan. Stride has the opportunity to grow market share in states that they recently acquired licences in. Previously, they only operated in markets with ~15% of the national population and ~20% of the GDP. Although starting from scratch, Stride has added an additional 59%/56% population/GDP market access, increasing their exposure to 4.9x/3.7x times their original levels.

Our primary concern for Stride is that we expect competitive dynamics for charity lottery in Canada to become far more fierce. Although not material yet, the Postcode Lottery group recently established the Canadian Postcode Lottery Foundation in Sep-2023. The group has launched numerous successful charity lottery initiatives around Europe. They also have the technological capability and financial backing to quickly achieve scale.

Exhibit 55 - Alberta Charitible Gaming Raffle TTV (CA$m)



Source: AGLC, E&P Estimates

Exhibit 56 - Stride Market Presence

	Economics		Charities	
Province	Population	GDP per Capita (CAD)	# Charities	# Charities with >$5m Rev
Stride Key				
Strong Presence	Stride is licenced and has a strong presence			
Weak Presence	Stride is licenced but does not have a strong presence			
Figures				
Ontario	15,996,989	69,231	30,575	1,850
Quebec	9,030,684	62,906	15,669	588
British Columbia	5,646,467	73,769	12,081	624
Alberta	4,849,906	101,821	9,121	423
Manitoba	1,484,135	61,258	4,602	203
Saskatchewan	1,231,043	97,086	4,033	123
Nova Scotia	1,072,545	53,043	3,526	105
New Brunswick	850,894	54,989	2,351	60
Other	849,900	NA	2,182	55
Stride Proportions				
Strong Presence	14.8%	20.4%	15.6%	13.5%
Weak Presence	58.5%	56.0%	59.0%	67.9%

Source: Company Data, Canada Revenue Agency, Statistics Canada, E&P Estimates

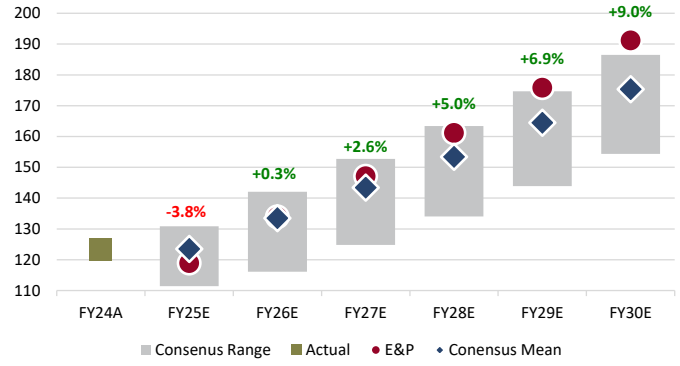
We believe that scaling these businesses will take some time. Charities are typically slow to move and value loyalty. Obtaining new customers will be challenging and will often be easier if bought via further bolt-on acquisitions. The charity lottery market has stronger competition overseas than in Australia, but Jumbo appear to be quickly adapting to this with the launch of Jumbo Win.

Financials

We forecast Jumbo to achieve 6.9%/7.7% revenue/EBITDA CAGR from FY24-FY30. Our forecasts relative to consensus are as follows:

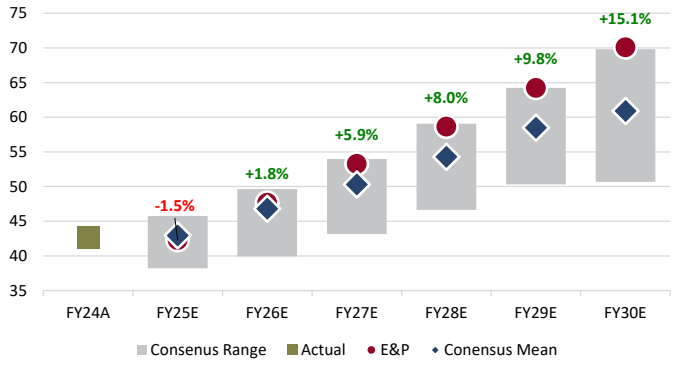
- **FY25 -** ~3% below for EBITDA in FY25. The primary reason for this is that we believe that the market hasn't fully appreciated the luck aspect of the Lottery Retailing business in FY24.
- **Lottery Retailing -** Over the long-term, we are ahead of consensus for Lottery Retailing EBITDA (see charts below). This can be attributed to Daily Winners, which we believe will offer an additional revenue bucket at a higher margin.
- **SaaS -** Largely in-line with consensus until FY30, where our 50% probability weighting for the LotteryWest RFP pushes our forecasts ahead.
- **Managed Services -** Below consensus in the near-term. Both businesses are going through significant leadership and technology changes in a high cost/inflation environment. We also believe the charity lottery service industries in the UK/Canada are far more competitive than Australia. That said, over the long-term, we are still optimistic about Jumbo's entry into these markets.

Exhibit 57 - E&P vs. Consenus - Lottery Retailing Revenue



Source: Visible Alpha, Company Data, E&P Estimates

Exhibit 58 - E&P vs. Consenus - Lottery Retailing EBITDA



Source: Visible Alpha, Company Data, E&P Estimates

Valuation

Valuation Inputs

Our valuation of Jumbo is $17.85/sh. Our valuation is determined using a free cash flow to equity DCF with the following inputs:

- 12.0% cost of equity (5% risk free rate, 6% market risk premium, 1.16 beta)
- 12x P/E terminal multiple
- Discounted cash flows to 2034 (10yrs).

Scenario Analysis

Jumbo is subject to a number of key contract and revenue scenarios. Below we detail the value of each:

- TLC License Extension (beyond 2030) - $9.22/sh.
- Daily Winners - $2.23/sh.
- LotteryWest RFP - $1.27/sh. We have assumed a 50% probability ($0.63/sh) in our model for revenues beginning FY30.

Trading Multiples

Jumbo is currently trading at its lowest 2-year forward P/E multiple since Covid and is now in-line with the overall ASX200. They are also trading at their lowest relative to TLC since their May-22 Tabcorp demerger and could represent a decent buying opportunity. We recognise that the key risk to Jumbo is their 2030 TLC reseller agreement and as such, it is not unreasonable for their trading multiple to decline in line with this key contract. Jumbo has also completed three M&A deals over the last five years that have not had the same growth trajectory as the rest of the business.

Exhibit 59 - Jumbo 2-year forward PE multiple vs. ASX200



Source: Company Data, Bloomberg, E&P Estimates

Exhibit 60 - Jumbo 2-year forward PE multiple relative to TLC



Source: Company Data, Bloomberg, E&P Estimates

Jumbo Interactive Ltd, Positive, VALUATION AUD17.85

EAP CORE DRIVERS

- Lotteries revenue resilience over the long-term.
- Underlying performance & innovation of lottery games.
- Stakeholder management including TLC & governments.

INVESTMENT THESIS

- Daily Winners to have retention benefits & expand margins.
- Lotteries online sales growth, driving incremental market share gains.
- Further charity SaaS growth.
- Potential online lotteries' government contracts wins.



FINANCIAL SUMMARY

Jumbo Interactive Ltd				JIN-ASX					
As at:	29/10/2024			Recommendation:	Positive			Share Price:	AUD13.49

Year end	Jun	2024A	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		159.3	154.5	170.2	184.4
EBITDA		75.1	73.7	81.8	90.2
D&A		(12.4)	(12.2)	(11.6)	(11.3)
EBIT		62.8	61.5	70.2	78.9
Net Interest Expense		1.0	1.0	1.0	0.9
PBT		63.7	62.5	71.2	79.8
Tax expense		(20.4)	(20.0)	(21.3)	(23.9)
NPAT attributable to s'hers		**43.3**	**42.5**	**49.8**	**55.9**
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		69.0	81.5	77.0	68.6
Current Receivables		7.3	6.9	7.4	7.9
Inventories		0.1	0.1	0.1	0.1
Other Current Assets		13.0	13.0	13.0	13.0
Total Current Assets		89.3	101.4	97.4	89.6
Property Plant & Equipment		1	1	1	1
Intangibles		46.5	41.6	38.1	35.5
Other Non-Current Assets		2.2	2.2	2.3	2.5
Total Non-Current Assets		80.5	75.8	72.5	70.2
Total Assets (BS)		169.8	177.2	169.9	159.8
Liabilities					
Total Current liabilities		45.2	43.2	45.6	48.3
Long Term Debt		0.6	0.6	0.6	0.6
Total Non-Current Liabilities		9.5	9.5	9.6	9.8
Total Liabilities		55	53	55	58
Total Shareholders' Equity		115.2	124.6	114.7	101.7
Net Assets		115.2	124.6	114.7	101.7
Net Tangible Assets		37.7	52.1	45.7	35.3
Book Value		115.2	124.6	114.7	101.7
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		75.1	73.7	81.8	90.2
Change in Working Capital		6.2	(1.6)	2.0	2.1
Other Operating Cashflow		0.9	0.0	0.0	0.0
Gross Operating Cash Flow		**82.3**	**72.1**	**83.7**	**92.3**
Net interest paid		1.0	1.0	1.0	0.9
Tax Paid		(22.6)	(20.0)	(21.3)	(23.9)
Net Operating Cash Flows		**60.7**	**53.1**	**63.4**	**69.3**
Investing Cash Flows					
Purchase of PP&E		(0.4)	(0.6)	(0.7)	(0.7)
Other Investing Cashflows		(8.6)	0.0	0.0	0.0
Total Investing CashFlow		**(15.2)**	**(6.3)**	**(6.9)**	**(7.5)**

Source: Company data, E&P estimates

Year end	Jun	2024A	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		0.6	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(0.6)	0.0	(29.9)	(34.4)
Distributions		(29.6)	(33.0)	(29.9)	(34.4)
Total Financing Cash Flow		**(30.9)**	**(34.3)**	**(61.0)**	**(70.1)**
Net Change in Cash		14.5	12.5	(4.5)	(8.4)
Free Cashflow		60.2	52.5	62.7	68.5
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		68.9	67.5	81.1	94.6
DPS (cents)		54.5	52.5	48.7	58.3
Cash Flow Per Share (cents/share)		95.7	83.3	102.1	116.0
Book Value ($/sh)		182.9	197.9	188.5	173.9
NTA Per Share ($/sh)		59.9	82.7	75.1	60.3
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
SEGMENTALS					
Lottery Retailing revenue		123.4	118.9	133.9	147.1
SaaS revenue		50.7	49.3	53.5	57.4
Managed Services revenue		25.8	25.0	24.5	24.6
Reseller EBITDA		42.6	42.3	47.6	53.3
SaaS EBITDA		32.8	33.7	36.6	39.3
EBITDA		6.7	5.7	5.7	6.1
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		47.2	47.7	48.0	48.9
EBIT Margin (%)		39.4	39.8	41.2	42.8
Net Profit Margin (%)		27.2	27.5	29.3	30.3
Capital Employed		46.8	43.7	38.3	33.7
Return on Capital Employed (%)		136.1	135.9	171.2	219.3
EBITDA/Capital Employed (%)		162.9	162.9	199.3	250.6
ROE %		**40.3**	**35.4**	**41.6**	**51.6**
Net Debt/Equity (%)		(59.4)	(64.9)	(66.6)	(66.9)
Net Debt/Net Debt & Equity (%)		(146.0)	(185.0)	(199.4)	(201.9)
Net Debt/EBITDA (x)		(0.9)	(1.1)	(0.9)	(0.8)
Net Interest Cover (x)		135.6	249.1	283.6	305.9
GOCF/EBITDA (%)		1.1	1.0	1.0	1.0
Total Capex/Sales (%)		4.2	4.1	4.1	4.1
Working Capital/Sales (%)		(0.2)	(0.2)	(0.2)	(0.2)
D&A/PP&E (%)		1,940.0	1,539.4	1,266.7	1,113.5
EV/EBITDA (x)		13.6	10.4	9.5	8.7

BLENDED VALUATION		
Valuation - DCF	18.54	1.0%
Valuation - PER		
Valuation	AUD17.85	

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

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Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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